

Broker's Opinion of Value

Broker Selection RFP:

Hotel Portfolio at Grand Boulevard Sandestin

COURTYARD | Residence INN | HYATT PLACE

DESTIN/MIRAMAR BEACH

Florida

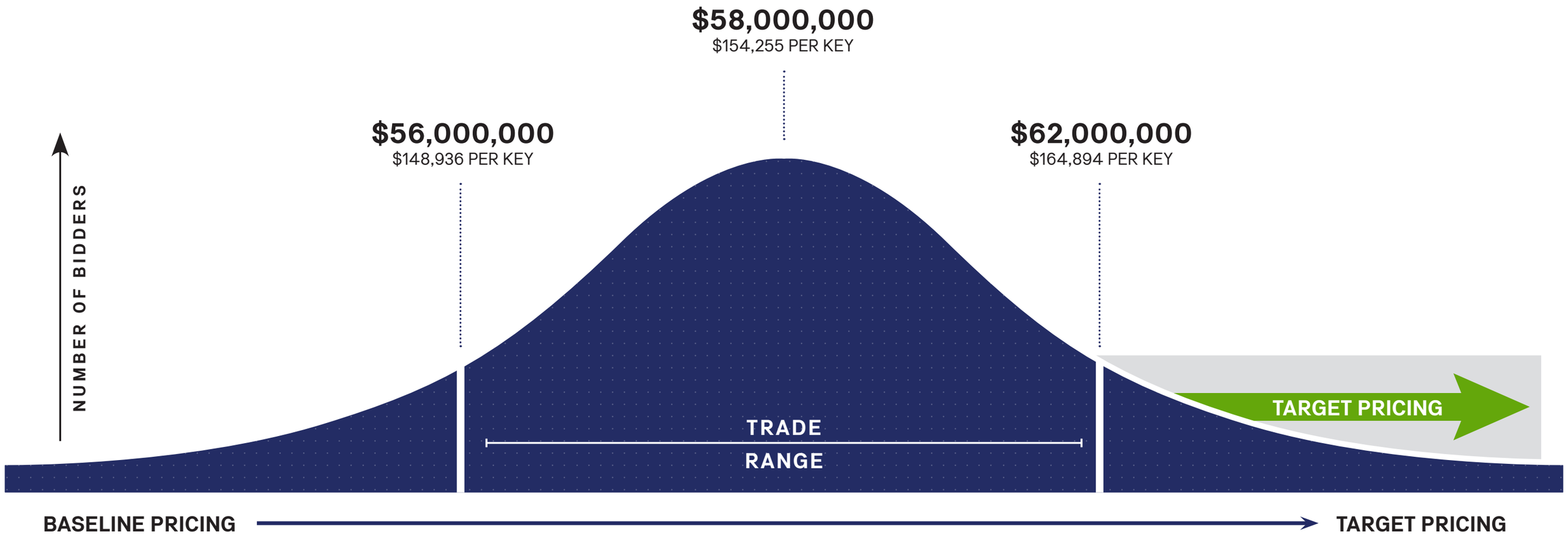
HWE

PRESENTING TO

Howard Group

Valuation Metrics - Consolidated Portfolio

Hodges Ward Elliott ("HWE") is pleased to provide the following Broker's Opinion of Value (BOV) on the Hotel Portfolio at Grand Boulevard Sandestin. Our objective with the following internal analysis is to provide you with a baseline valuation that can be supported by disciplined underwriting. In a marketing effort, HWE's underwriting would reflect more aggressive assumptions and target pricing at the upper end of the valuation curve.



Valuation Metrics & Key Assumptions - Portfolio (Consolidated)

Consolidation: Howard Group 3 Property Portfolio At Grand Boulevard

VALUATION METRICS

VALUE:	**$58,000,000**
VALUE PER ROOM:	**$154,255**
ESTIMATED CAPITAL & CLOSING COSTS:	$3,004,000
ALL-IN ACQUISITION COST:	**$61,004,000**
ALL-IN PRICE PER ROOM:	**$162,245**
ALL-IN CAP RATE ON TTM NOI:	7.1%
ALL-IN EBITDA MULTIPLE ON TTM:	12.26 x
ALL-IN CAP RATE ON 2026 FORECAST:	7.2%
ALL-IN EBITDA MULTIPLE ON 2026 FORECAST:	11.98 x
5-YEAR LEVERAGED IRR:	18.8%
10-YEAR UNLEVERAGED IRR:	11.6%

** Metrics recorded at midpoint of value range presented.*

ALL-IN PRICE *

All-In Purchase Price*	All-In Price per Key*	Cap Rate on Forecast 2026	Cap Rate on Proforma Year One
$57,004,000	$151,606	7.8%	8.7%
$59,004,000	$156,926	7.5%	8.5%
$61,004,000	**$162,245**	**7.2%**	**8.2%**
$63,004,000	$167,564	7.0%	7.9%
$65,004,000	$172,883	6.8%	7.7%
Net Operating Income		**$4,421,386**	**$4,986,384**

** Note: Includes Capex & Closing Costs.*

KEY ASSUMPTIONS

- Assumes $1,844,000 ($4,904 per key) in renovation capital for a new buyer: $2,000 per key at Courtyard and Residence Inn; $15,000 per key at Hyatt Place.
- Unencumbered of Management & Management Fee equaling 3.0% of Total Revenue.
- FF&E Reserve equaling 4.0% of Total Revenue.
- Property insurance at the midpoint of Franklin Street's high and low premium estimates for each hotel.
- Year One = 2027
- Acquisition financing assumes 63.4% blended LTC: existing Courtyard ($16.25M) and Residence Inn ($13.675M) CMBS loans plus a new $8.775M Hyatt Place loan (65% LTC).
- Closing costs equal to 2.0% of purchase price.
- Blended terminal capitalization rate equal to 8.50%.
- Perla Baking Co. lease: $41,309 minimum rent (+2%/yr) plus 8% of sales above $732,975; expires Oct. 2030 or later.

Historical Cash Flow Summary - Portfolio (Consolidated)

		Year Ended December 31, 2022		Year Ended December 31, 2023		Year Ended December 31, 2024		Year Ended December 31, 2025		Trailing Twelve August 31, 2026		Forecast Year Ended December 31, 2026[3]	
		Amount	Ratio	Amount	Ratio	Amount	Ratio	Amount	Ratio	Amount	Ratio	Amount	Ratio
Revenue													
Rooms		$15,334,667	94.0%	$15,046,482	94.4%	$14,566,093	93.8%	$15,339,542	93.9%	$15,611,066	93.8%	$15,729,982	93.7%
Food & Beverage		532,861	3.3%	545,348	3.4%	614,000	4.0%	662,728	4.1%	690,532	4.1%	711,877	4.2%
Other		441,999	2.7%	348,537	2.2%	353,015	2.3%	339,304	2.1%	349,507	2.1%	350,599	2.1%
Total Revenue		16,309,527	100.0%	15,940,367	100.0%	15,533,108	100.0%	16,341,574	100.0%	16,651,105	100.0%	16,792,458	100.0%
Departmental Expenses													
Rooms		3,821,160	24.9%	3,869,623	25.7%	4,016,657	27.6%	3,962,859	25.8%	3,878,803	24.8%	3,922,711	24.9%
Food & Beverage		455,402	85.5%	522,924	95.9%	480,809	78.3%	605,641	91.4%	579,651	83.9%	570,187	80.1%
Other		85,462	19.3%	76,429	21.9%	92,925	26.3%	95,171	28.0%	95,501	27.3%	96,437	27.5%
Total Departmental Expenses		4,362,024	26.7%	4,468,976	28.0%	4,590,391	29.6%	4,663,671	28.5%	4,553,955	27.3%	4,589,335	27.3%
Total Departmental Profit		11,947,503	73.3%	11,471,391	72.0%	10,942,717	70.4%	11,677,903	71.5%	12,097,150	72.7%	12,203,123	72.7%
Undistributed Oper. Expenses													
Admin. & Gen.		1,500,548	9.2%	1,485,263	9.3%	1,387,175	8.9%	1,428,650	8.7%	1,476,362	8.9%	1,433,039	8.5%
Info. & Telecomm. Systems		161,893	1.0%	208,361	1.3%	143,323	0.9%	153,915	0.9%	152,645	0.9%	154,180	0.9%
Franchise Fees		1,561,877	9.6%	1,540,769	9.7%	1,520,775	9.8%	1,638,814	10.0%	1,688,649	10.1%	1,688,319	10.1%
Marketing		635,013	3.9%	630,696	4.0%	675,965	4.4%	714,685	4.4%	688,376	4.1%	668,220	4.0%
Utility Costs		674,140	4.1%	653,630	4.1%	633,016	4.1%	656,884	4.0%	665,704	4.0%	670,079	4.0%
Property Oper. & Maint.		976,062	6.0%	1,054,236	6.6%	1,025,165	6.6%	1,010,614	6.2%	1,066,376	6.4%	1,071,591	6.4%
Total Undistributed Oper. Expenses		5,509,533	33.8%	5,572,955	35.0%	5,385,419	34.7%	5,603,562	34.3%	5,738,112	34.5%	5,685,428	33.9%
Gross Operating Profit		6,437,970	39.5%	5,898,436	37.0%	5,557,298	35.8%	6,074,341	37.2%	6,359,038	38.2%	6,517,695	38.8%
Management Fees	*(1)*	489,286	3.0%	478,211	3.0%	465,993	3.0%	490,247	3.0%	499,533	3.0%	503,774	3.0%
Income Before Fixed Charges		5,948,684	36.5%	5,420,225	34.0%	5,091,305	32.8%	5,584,094	34.2%	5,859,505	35.2%	6,013,921	35.8%
Fixed Charges													
Non-Operating Income		(107,913)	-0.7%	(106,831)	-0.7%	(96,897)	-0.6%	(57,179)	-0.3%	(35,690)	-0.2%	(56,620)	-0.3%
Insurance		457,777	2.8%	534,827	3.4%	635,520	4.1%	498,305	3.0%	508,376	3.1%	566,001	3.4%
Property Taxes		353,524	2.2%	356,016	2.2%	364,980	2.3%	394,027	2.4%	411,995	2.5%	411,456	2.5%
Total Fixed Charges		703,388	4.3%	784,012	4.9%	903,603	5.8%	835,153	5.1%	884,681	5.3%	920,837	5.5%
EBITDA		5,245,296	32.2%	4,636,213	29.1%	4,187,702	27.0%	4,748,941	29.1%	4,974,824	29.9%	5,093,084	30.3%
Reserve for Replacement	*(2)*	652,381	4.0%	637,615	4.0%	621,324	4.0%	653,663	4.0%	666,044	4.0%	671,698	4.0%
Net Operating Income		$4,592,915	28.2%	$3,998,598	25.1%	$3,566,377	23.0%	$4,095,278	25.1%	$4,308,780	25.9%	$4,421,386	26.3%
NOI / Key		*$12,215*		*$10,635*		*$9,485*		*$10,892*		*$11,460*		*$11,759*	
Operating Statistics													
Occupancy		64.8%		70.6%		71.3%		75.9%		76.2%		76.5%	
Average Daily Rate		$172.54		$155.34		$148.43		$147.28		$149.21		$149.82	
RevPAR		$111.74		$109.64		$105.85		$111.77		$113.75		$114.62	
Number of Rooms		376		376		376		376		376		376	
Days In Period		365		365		366		365		365		365	
Available Rooms		137,240		137,240		137,616		137,240		137,240		137,240	
Occupied Rooms		88,877		96,860		98,135		104,151		104,622		104,990	

(1) Included on a pro forma basis at 3% of Total Revenue.
(2) Included on a pro forma basis at 4% of Total Revenue.
(3) Includes actuals through August + Budget September - December.

Projected Cash Flow Summary - Portfolio (Consolidated)

	2027 Renovation Year One		2028 Year Two		2029 Year Three		2030 Year Four		2031 Year Five	
	Amount	*Ratio*	*Amount*	*Ratio*	*Amount*	*Ratio*	*Amount*	*Ratio*	*Amount*	*Ratio*
Revenue										
Rooms	$15,995,554	93.7%	$16,832,745	93.8%	$17,364,320	93.8%	$17,798,428	93.7%	$18,243,388	93.6%
Food & Beverage	716,522	4.2%	750,321	4.2%	779,121	4.2%	806,391	4.2%	834,614	4.3%
Other	357,000	2.1%	364,800	2.0%	377,568	2.0%	390,783	2.1%	404,460	2.1%
Total Revenue	17,069,076	100.0%	17,947,866	100.0%	18,521,009	100.0%	18,995,601	100.0%	19,482,463	100.0%
Departmental Expenses										
Rooms	3,917,974	24.5%	4,007,500	23.8%	4,152,575	23.9%	4,277,152	24.0%	4,405,466	24.1%
Food & Beverage	575,184	80.3%	594,950	79.3%	614,466	78.9%	632,900	78.5%	651,886	78.1%
Other	92,400	25.9%	94,380	25.9%	97,211	25.7%	100,128	25.6%	103,132	25.5%
Total Departmental Expenses	4,585,558	26.9%	4,696,830	26.2%	4,864,251	26.3%	5,010,179	26.4%	5,160,484	26.5%
Total Departmental Profit	12,483,518	73.1%	13,251,037	73.8%	13,656,757	73.7%	13,985,422	73.6%	14,321,978	73.5%
Undistributed Oper. Expenses										
Admin. & Gen.	1,020,000	6.0%	1,068,000	6.0%	1,100,040	5.9%	1,133,041	6.0%	1,167,032	6.0%
Info. & Telecomm. Systems	160,518	0.9%	170,362	0.9%	175,473	0.9%	180,737	1.0%	186,160	1.0%
Franchise Fees	1,721,356	10.1%	1,808,383	10.1%	1,864,443	10.1%	1,911,054	10.1%	1,958,830	10.1%
Marketing	682,763	4.0%	717,915	4.0%	739,452	4.0%	761,636	4.0%	784,485	4.0%
Utility Costs	679,328	4.0%	703,763	3.9%	728,594	3.9%	750,452	4.0%	772,965	4.0%
Property Oper. & Maint.	1,078,286	6.3%	1,108,346	6.2%	1,141,596	6.2%	1,175,844	6.2%	1,211,119	6.2%
Total Undistributed Oper. Expenses	5,342,252	31.3%	5,576,768	31.1%	5,749,598	31.0%	5,912,764	31.1%	6,080,591	31.2%
Gross Operating Profit	7,141,266	41.8%	7,674,268	42.8%	7,907,159	42.7%	8,072,658	42.5%	8,241,387	42.3%
Management Fees	512,072	3.0%	538,436	3.0%	555,630	3.0%	569,868	3.0%	584,474	3.0%
Income Before Fixed Charges	6,629,194	38.8%	7,135,832	39.8%	7,351,529	39.7%	7,502,790	39.5%	7,656,913	39.3%
Fixed Charges										
Non-Operating Income	(57,752)	-0.3%	(58,907)	-0.3%	(60,086)	-0.3%	(61,287)	-0.3%	(62,513)	-0.3%
Insurance	594,000	3.5%	611,820	3.4%	630,175	3.4%	649,080	3.4%	668,552	3.4%
Property Taxes	423,800	2.5%	436,514	2.4%	449,609	2.4%	463,097	2.4%	476,990	2.4%
Total Fixed Charges	960,047	5.6%	989,426	5.5%	1,019,698	5.5%	1,050,890	5.5%	1,083,029	5.6%
EBITDA	5,669,147	33.2%	6,146,406	34.2%	6,331,831	34.2%	6,451,900	34.0%	6,573,884	33.7%
Reserve for Replacement	682,763	4.0%	717,915	4.0%	740,840	4.0%	759,824	4.0%	779,299	4.0%
Net Operating Income	$4,986,384	29.2%	$5,428,491	30.2%	$5,590,991	30.2%	$5,692,076	30.0%	$5,794,585	29.7%
NOI / Key	*$13,262*		*$14,437*		*$14,870*		*$15,139*		*$15,411*	
Operating Statistics										
Occupancy	76.2%		77.7%		78.0%		78.0%		78.0%	
Average Daily Rate	$153.05		$157.94		$162.13		$166.19		$170.34	
RevPAR	$116.55		$122.65		$126.53		$129.69		$132.93	
Number of Rooms	376		376		376		376		376	
Days In Period	365		365		365		365		365	
Available Rooms	137,240		137,240		137,240		137,240		137,240	
Occupied Rooms	104,509		106,575		107,098		107,098		107,098	

Projected Leveraged Return Analysis - Portfolio (Consolidated)

Source and Use of Funds

			Per Key			
Property Acquisition		$58,000,000	$154,255	First Mortgage (1)	$38,700,000	63%
Renovation		1,844,000	4,904	Equity	22,304,000	37%
Closing Costs	2.0%	1,160,000	3,085			
Total Use of Funds		$61,004,000	$162,245	Total Source of Funds	$61,004,000	100%

(1) Assumes the loans for the Courtyard and Residence Inn

Number of Rooms **376**

YR1 Debt Yield	12.9%

Capital Gain Calculation	
Sixth Year Net Operating Income	$6,048,597
Terminal Cap Rate (Blended)	8.5%
Gross Sales Price	$71,159,963
Selling Costs	2.0%
Net Sales Price	$69,736,764
Remaining Mortgage Balance	$38,700,000
Return of Equity	22,304,000
	-
Capital Gain	$8,732,764
Sales Price per Room	$189,255

Room Rev. Multiple	Acquisition	Total
T-12	3.72 x	3.91 x
FCST 2026	3.69 x	3.88 x
Year One	3.63 x	3.81 x

YE 2025, All-In Cap Rate	6.7%
YE 2025, Acquisition Cap Rate	7.1%
T-12 2026, All-In Cap Rate	7.1%
T-12 2026, Acquisition Cap Rate	7.4%
FCST 2026, All-In Cap Rate	7.2%
FCST 2026, Acquisition Cap Rate	7.6%
FCST 2026, EBITDA Multiple	11.39 x

Year One, All-In Cap Rate	8.2%
Year One, Acquisition Cap Rate	8.6%
Year One, EBITDA Multiple	10.23 x
Year Two, All-In Cap Rate	8.9%
Year Two, Acquisition Cap Rate	9.4%
Year Two, EBITDA Multiple	9.44 x

Loan Terms

Hyatt Place:		Courtyard:		Residence Inn:	
Mortgage Amount:	$8,775,000	Mortgage Amount:	$16,250,000	Mortgage Amount:	$13,675,000
Interest Rate:	Variable	Interest Rate (fixed):	5.90%	Interest Rate (fixed):	5.99%
Amortization Period:	Interest Only	Term:	10 Years	Term:	10 Years
		Total Prepayment Penalty (as of 9/2026):	$806,178	Total Prepayment Penalty (as of 9/2026):	$738,547
		Maturity Date:	July-32	Maturity Date:	July-32

	Year One	Year Two	Year Three	Year Four	Year Five
Beginning Balance	$38,700,000	$38,700,000	$38,700,000	$38,700,000	$38,700,000
Annual Payment	2,438,486	2,456,831	2,455,847	2,453,896	2,457,759
Portion to Interest	2,438,486	2,456,831	2,455,847	2,453,896	2,457,759
Portion to Principal	-	-	-	-	-
Ending Balance	$38,700,000	$38,700,000	$38,700,000	$38,700,000	$38,700,000

Yearly Cash Flow Summary

	Year One	Year Two	Year Three	Year Four	Year Five	Year Six
Net Operating Income	$4,986,384	$5,428,491	$5,590,991	$5,692,076	$5,794,585	$6,048,597
First Mortgage Annual Payment	2,438,486	2,456,831	2,455,847	2,453,896	2,457,759	
Cash Flow after Debt Service	$2,547,897	$2,971,660	$3,135,144	$3,238,180	$3,336,827	
NOI/Key	$13,262	$14,437	$14,870	$15,139	$15,411	
Debt Yield	12.9%	14.0%	14.4%	14.7%	15.0%	
Debt Service Coverage Ratio	2.04	2.21	2.28	2.32	2.36	

Leveraged IRR Analysis

	Year Zero	Year One	Year Two	Year Three	Year Four	Year Five
Equity	(22,304,000)					
Cash Flow after Debt Service		2,547,897	2,971,660	3,135,144	3,238,180	3,336,827
Net Sales Price						69,736,764
Remaining Mortgage Balance						(38,700,000)
Net Cash Flow	($22,304,000)	$2,547,897	$2,971,660	$3,135,144	$3,238,180	$34,373,590
Cash-on-Cash Return		11.4%	13.3%	14.1%	14.5%	

Five-Year Leveraged IRR	18.8%
Equity Multiple	2.07 x

Projected Unleveraged Return Analysis - Portfolio (Consolidated)

Source and Use of Funds

		Per Key
Property Acquisition	$58,000,000	$154,255
Renovation	1,844,000	4,904
Closing Costs	1,160,000	3,085
Total Use of Funds	$61,004,000	$162,245

Number of Rooms 376

Ten-Year Unleveraged IRR Analysis

	Year One	Year Two	Year Three	Year Four	Year Five	Year Six	Year Seven	Year Eight	Year Nine	Year Ten	Year Eleven
Net Operating Income	$4,986,384	$5,428,491	$5,590,991	$5,692,076	$5,794,585	$6,048,597	$6,313,044	$6,588,340	$6,874,910	$7,173,200	$7,483,670

Eleventh Year Net Operating Income	$7,483,670
Terminal Cap Rate (Blended)	9.0%
Gross Sales Price	$83,151,886
Selling Costs	2.0%
Net Sales Price	$81,488,848
Return of Equity	61,004,000
Capital Gain	$20,484,848
Sales Price per Room	$221,149

	Year Zero	Year One	Year Two	Year Three	Year Four	Year Five	Year Six	Year Seven	Year Eight	Year Nine	Year Ten
Total Use of Funds	($61,004,000)										
Net Operating Income		4,986,384	5,428,491	5,590,991	5,692,076	5,794,585	6,048,597	6,313,044	6,588,340	6,874,910	7,173,200
Net Sales Price											81,488,848
Net Cash Flow	($61,004,000)	$4,986,384	$5,428,491	$5,590,991	$5,692,076	$5,794,585	$6,048,597	$6,313,044	$6,588,340	$6,874,910	$88,662,048
Unleveraged Cash-on-Cash Return		8.2%	8.9%	9.2%	9.3%	9.5%	9.9%	10.3%	10.8%	11.3%	

Ten-Year Unleveraged IRR	11.6%
Equity Multiple	2.33 x
Percentage of Return from Residual	44.8%
Percentage of Return from Cash Flow	55.2%

Valuation Metrics & Key Assumptions

Courtyard Sandestin at Grand Boulevard

VALUATION METRICS

VALUE:	$27,000,000
VALUE PER ROOM:	$156,069
ESTIMATED CAPITAL & CLOSING COSTS:	$886,000
ALL-IN ACQUISITION COST:	$27,886,000
ALL-IN PRICE PER ROOM:	$161,191
ALL-IN CAP RATE ON TTM NOI:	7.8%
ALL-IN EBITDA MULTIPLE ON TTM:	11.30 x
ALL-IN CAP RATE ON 2026 FORECAST:	8.0%
ALL-IN EBITDA MULTIPLE ON 2026 FORECAST:	11.05 x
5-YEAR LEVERAGED IRR:	18.5%
10-YEAR UNLEVERAGED IRR:	11.7%

** Metrics recorded at midpoint of value range presented.*

ALL-IN PRICE *

All-In Purchase Price*	All-In Price per Key*	Cap Rate on Forecast 2026	Cap Rate on Proforma Year One
$25,436,000	$147,029	8.7%	9.5%
$26,661,000	$154,110	8.3%	9.1%
$27,886,000	**$161,191**	**8.0%**	**8.7%**
$29,111,000	$168,272	7.6%	8.3%
$30,336,000	$175,353	7.3%	8.0%
Net Operating Income		**$2,218,778**	**$2,426,484**

** Note: Includes Capex & Closing Costs.*

KEY ASSUMPTIONS

- Assumes $346,000 ($2,000 per key) in renovation capital for a new buyer; no separate PIP.
- Unencumbered of Management & Management Fee equaling 3.0% of Total Revenue.
- FF&E Reserve equaling 4.0% of Total Revenue.
- Property insurance at the midpoint of Franklin Street's high and low premium estimates.
- Year One = 2027
- Acquisition financing assumes 58.3% LTC: existing Courtyard CMBS loan of $16.25M at 5.90% fixed, interest only.
- Closing costs equal to 2.0% of purchase price.
- Terminal capitalization rate equal to 8.50%.

Historical Cash Flow Summary – Courtyard

COURTYARD SANDESTIN AT GRAND BOULEVARD

		Year Ended December 31, 2022		Year Ended December 31, 2023		Year Ended December 31, 2024		Year Ended December 31, 2025		Trailing Twelve August 31, 2026		Forecast Year Ended December 31, 2026[3]	
		Amount	Ratio	Amount	Ratio	Amount	Ratio	Amount	Ratio	Amount	Ratio	Amount	Ratio
Revenue													
Rooms		$6,319,936	91.3%	$6,267,091	91.8%	$6,108,547	91.0%	$6,721,730	90.9%	$6,874,945	91.0%	$6,921,696	90.9%
Food & Beverage		390,061	5.6%	407,340	6.0%	450,617	6.7%	519,185	7.0%	524,271	6.9%	528,952	6.9%
Other		209,768	3.0%	152,175	2.2%	155,912	2.3%	156,703	2.1%	158,938	2.1%	167,510	2.2%
Total Revenue		6,919,765	100.0%	6,826,606	100.0%	6,715,076	100.0%	7,397,618	100.0%	7,558,154	100.0%	7,618,158	100.0%
Departmental Expenses													
Rooms		1,405,794	22.2%	1,367,484	21.8%	1,469,087	24.0%	1,403,762	20.9%	1,363,308	19.8%	1,378,315	19.9%
Food & Beverage		358,468	91.9%	405,981	99.7%	379,026	84.1%	482,428	92.9%	462,226	88.2%	448,498	84.8%
Other		40,835	19.5%	39,671	26.1%	50,171	32.2%	48,242	30.8%	50,503	31.8%	53,345	31.8%
Total Departmental Expenses		1,805,097	26.1%	1,813,136	26.6%	1,898,284	28.3%	1,934,432	26.1%	1,876,037	24.8%	1,880,158	24.7%
Total Departmental Profit		5,114,668	73.9%	5,013,470	73.4%	4,816,792	71.7%	5,463,186	73.9%	5,682,117	75.2%	5,738,000	75.3%
Undistributed Oper. Expenses													
Admin. & Gen.		590,125	8.5%	604,460	8.9%	570,706	8.5%	635,421	8.6%	642,526	8.5%	619,841	8.1%
Info. & Telecomm. Systems		64,225	0.9%	82,954	1.2%	55,383	0.8%	53,398	0.7%	56,928	0.8%	56,427	0.7%
Franchise Fees		721,105	10.4%	713,083	10.4%	714,353	10.6%	841,548	11.4%	836,158	11.1%	828,022	10.9%
Marketing		258,020	3.7%	266,006	3.9%	284,687	4.2%	297,590	4.0%	309,864	4.1%	303,516	4.0%
Utility Costs		272,985	3.9%	273,994	4.0%	263,368	3.9%	284,003	3.8%	291,215	3.9%	293,706	3.9%
Property Oper. & Maint.		426,928	6.2%	466,112	6.8%	439,146	6.5%	409,530	5.5%	456,994	6.0%	469,414	6.2%
Total Undistributed Oper. Expenses		2,333,388	33.7%	2,406,609	35.3%	2,327,643	34.7%	2,521,490	34.1%	2,593,685	34.3%	2,570,926	33.7%
Gross Operating Profit		2,781,280	40.2%	2,606,861	38.2%	2,489,149	37.1%	2,941,696	39.8%	3,088,432	40.9%	3,167,074	41.6%
Management Fees	*(1)*	207,593	3.0%	204,798	3.0%	201,452	3.0%	221,929	3.0%	226,745	3.0%	228,545	3.0%
Income Before Fixed Charges		2,573,687	37.2%	2,402,063	35.2%	2,287,697	34.1%	2,719,767	36.8%	2,861,687	37.9%	2,938,529	38.6%
Fixed Charges													
Insurance		180,045	2.6%	216,684	3.2%	263,848	3.9%	198,596	2.7%	211,140	2.8%	235,241	3.1%
Property Taxes		148,933	2.2%	149,644	2.2%	153,983	2.3%	171,462	2.3%	182,502	2.4%	179,784	2.4%
Total Fixed Charges		328,978	4.8%	366,328	5.4%	417,831	6.2%	370,058	5.0%	393,642	5.2%	415,025	5.4%
EBITDA		2,244,709	32.4%	2,035,735	29.8%	1,869,866	27.8%	2,349,709	31.8%	2,468,045	32.7%	2,523,504	33.1%
Reserve for Replacement	*(2)*	276,791	4.0%	273,064	4.0%	268,603	4.0%	295,905	4.0%	302,326	4.0%	304,726	4.0%
Net Operating Income		$1,967,918	28.4%	$1,762,671	25.8%	$1,601,263	23.8%	$2,053,805	27.8%	$2,165,719	28.7%	$2,218,778	29.1%
NOI / Key		*$11,375*		*$10,189*		*$9,256*		*$11,872*		*$12,519*		*$12,825*	
Operating Statistics													
Occupancy		60.5%		68.1%		69.1%		74.8%		76.2%		76.8%	
Average Daily Rate		$165.51		$145.83		$139.59		$142.38		$142.81		$142.82	
RevPAR		$100.09		$99.25		$96.47		$106.45		$108.88		$109.62	
Number of Rooms		173		173		173		173		173		173	
Days In Period		365		365		366		365		365		365	
Available Rooms		63,145		63,145		63,318		63,145		63,145		63,145	
Occupied Rooms		38,185		42,975		43,762		47,211		48,139		48,464	

(1) Included on a pro forma basis at 3% of Total Revenue.
(2) Included on a pro forma basis at 4% of Total Revenue.
(3) Includes actuals through August + Budget September - December.

Historical & Projected Penetration Analysis – Courtyard

Subject Property	Year End Dec. 31, 2022	Year End Dec. 31, 2023	Year End Dec. 31, 2024	Year End Dec. 31, 2025	YTD Ending Aug. 31, 2025	YTD Ending Aug. 31, 2026	T-12 Aug. 31, 2026	Compded. % Change 2022-2025	Property Forecast 2026 *	2027 Year 1 *	2028 Year 2	2029 Year 3	2030 Year 4	2031 Year 5	Compded. % Change YR1 - YR5	Compded. % Change YR2 - YR5
Occupancy	60.3%	67.8%	69.0%	74.8%	78.6%	79.9%	75.6%		76.8%	77.5%	78.0%	78.0%	78.0%	78.0%		
% Change	-3.3%	12.4%	1.8%	8.3%	9.1%	1.5%	3.0%	7.4%	2.7%	1.0%	0.6%	0.0%	0.0%	0.0%	0.2%	0.0%
Occupancy Penetration	101.6%	119.1%	120.0%	123.2%	119.3%	118.9%	122.9%		124.0%	124.0%	124.2%	123.5%	123.5%	123.5%		
Rank	3 of 6	3 of 7	3 of 7	1 of 7	1 of 7	1 of 7	1 of 7									
Average Daily Rate	$165.92	$146.79	$139.95	$142.61	$160.12	$160.06	$142.76		$142.82	$145.68	$149.32	$153.05	$156.88	$160.80		
% Change	-5.6%	-11.5%	-4.7%	1.9%	2.2%	0.0%	-0.4%	-4.9%	0.1%	2.0%	2.5%	2.5%	2.5%	2.5%	2.5%	2.5%
ADR Penetration	94.8%	92.6%	90.5%	97.4%	96.8%	97.4%	97.9%		98.6%	98.6%	98.6%	98.6%	98.6%	98.6%		
Rank	4 of 6	5 of 7	6 of 7	5 of 7	5 of 7	6 of 7	5 of 7									
RevPAR	$100.12	$99.53	$96.60	$106.63	$125.92	$127.81	$107.88		$109.62	$112.90	$116.47	$119.38	$122.37	$125.42		
% Change	-8.7%	-0.6%	-2.9%	10.4%	11.5%	1.5%	2.5%	2.1%	2.8%	3.0%	3.2%	2.5%	2.5%	2.5%	2.7%	2.5%
RevPAR Penetration	96.4%	110.3%	108.5%	120.1%	115.5%	115.9%	120.3%		122.2%	122.2%	122.4%	121.8%	121.8%	121.8%		
Rank	3 of 6	3 of 7	3 of 7	2 of 7	2 of 7	2 of 7	2 of 7									

Competitive Set (1)	Year End Dec. 31, 2022	Year End Dec. 31, 2023	Year End Dec. 31, 2024	Year End Dec. 31, 2025	YTD Ending Aug. 31, 2025	YTD Ending Aug. 31, 2026	T-12 Aug. 31, 2026	Compded. % Change 2022-2025	HWE Projected 2026 *	Year 1 *	Year 2	Year 3	Year 4	Year 5	Compded. % Change YR1 - YR5	Compded. % Change YR2 - YR5
Occupancy	59.4%	56.9%	57.5%	60.7%	65.9%	67.2%	61.5%		61.9%	62.5%	62.8%	63.1%	63.1%	63.1%		
% Change	-11.6%	-3.9%	1.1%	5.4%	2.9%	1.9%	4.7%	0.7%	2.0%	1.0%	0.5%	0.5%	0.0%	0.0%	0.2%	0.2%
Average Daily Rate	$174.93	$158.57	$154.70	$146.36	$165.40	$164.25	$145.79		$144.90	$147.80	$151.49	$155.28	$159.16	$163.14		
% Change	-6.1%	-9.4%	-2.4%	-5.4%	-3.7%	-0.7%	-3.0%	-5.8%	-1.0%	2.0%	2.5%	2.5%	2.5%	2.5%	2.5%	2.5%
RevPAR	$103.86	$90.27	$89.02	$88.81	$109.01	$110.30	$89.67		$89.68	$92.38	$95.17	$98.03	$100.48	$103.00		
% Change	-17.0%	-12.9%	-1.4%	-0.2%	-0.9%	1.2%	1.5%	-5.1%	1.0%	3.0%	3.0%	3.0%	2.5%	2.5%	2.8%	2.7%

(1) Historical results for the Competitive Set are derived from STR data. Projections for Years One through Five for the Hotel and the Competitive Set are based on our study of the current market conditions. HWE neither warrants nor guarantees the results of these projections and analyses since unanticipated events and circumstances may occur.
** Forecast 2026 percentage change is calculated from Year End 2025.*
** Proforma Year 1 percentage change is calculated from Forecast 2026.*

	Key Count:	Open Date:
• Subject Property NOT included	173	Jun-06
Competitive Set includes:		
• Fairfield Inn & Suites Destin	100	Feb-00
• Holiday Inn Express & Suites Destin E - Commons Mall Area	74	May-02
• La Quinta Inn & Suites by Wyndham Miramar Beach-Destin	126	Jan-20
• Hilton Garden Inn Destin Miramar Beach	111	May-20
• Spark by Hilton Destin	137	Oct-97
• Tru by Hilton Destin	117	Jul-23
	665	

Projected Cash Flow Summary – Courtyard

	2027		2028		2029		2030		2031	
	Year One		Year Two		Year Three		Year Four		Year Five	
	Amount	*Ratio*	*Amount*	*Ratio*	*Amount*	*Ratio*	*Amount*	*Ratio*	*Amount*	*Ratio*
Revenue										
Rooms	$7,129,090	91.0%	$7,354,461	91.0%	$7,538,323	90.9%	$7,726,781	90.8%	$7,919,951	90.8%
Food & Beverage	538,311	6.9%	554,097	6.9%	573,491	6.9%	593,563	7.0%	614,338	7.0%
Other	171,000	2.2%	174,000	2.2%	180,090	2.2%	186,393	2.2%	192,917	2.2%
Total Revenue	7,838,401	100.0%	8,082,559	100.0%	8,291,904	100.0%	8,506,737	100.0%	8,727,205	100.0%
Departmental Expenses										
Rooms	1,419,184	19.9%	1,452,966	19.8%	1,496,555	19.9%	1,541,452	19.9%	1,587,696	20.0%
Food & Beverage	457,564	85.0%	465,442	84.0%	479,405	83.6%	493,787	83.2%	508,601	82.8%
Other	51,300	30.0%	52,200	30.0%	53,766	29.9%	55,379	29.7%	57,040	29.6%
Total Departmental Expenses	1,928,048	24.6%	1,970,608	24.4%	2,029,726	24.5%	2,090,618	24.6%	2,153,337	24.7%
Total Departmental Profit	5,910,353	75.4%	6,111,951	75.6%	6,262,177	75.5%	6,416,119	75.4%	6,573,868	75.3%
Undistributed Oper. Expenses										
Admin. & Gen.	480,000	6.1%	504,000	6.2%	519,120	6.3%	534,694	6.3%	550,734	6.3%
Info. & Telecomm. Systems	62,707	0.8%	64,660	0.8%	66,600	0.8%	68,598	0.8%	70,656	0.8%
Franchise Fees	855,491	10.9%	882,535	10.9%	904,599	10.9%	927,214	10.9%	950,394	10.9%
Marketing	313,536	4.0%	323,302	4.0%	333,001	4.0%	342,991	4.0%	353,281	4.0%
Utility Costs	300,965	3.8%	307,832	3.8%	317,067	3.8%	326,579	3.8%	336,376	3.9%
Property Oper. & Maint.	470,304	6.0%	484,954	6.0%	499,502	6.0%	514,487	6.0%	529,922	6.1%
Total Undistributed Oper. Expenses	2,483,003	31.7%	2,567,284	31.8%	2,639,889	31.8%	2,714,563	31.9%	2,791,364	32.0%
Gross Operating Profit	3,427,350	43.7%	3,544,667	43.9%	3,622,288	43.7%	3,701,556	43.5%	3,782,504	43.3%
Management Fees	235,152	3.0%	242,477	3.0%	248,757	3.0%	255,202	3.0%	261,816	3.0%
Income Before Fixed Charges	3,192,198	40.7%	3,302,190	40.9%	3,373,531	40.7%	3,446,354	40.5%	3,520,688	40.3%
Fixed Charges										
Insurance	267,000	3.4%	275,010	3.4%	283,260	3.4%	291,758	3.4%	300,511	3.4%
Property Taxes	185,178	2.4%	190,733	2.4%	196,455	2.4%	202,348	2.4%	208,419	2.4%
Total Fixed Charges	452,178	5.8%	465,743	5.8%	479,715	5.8%	494,107	5.8%	508,930	5.8%
EBITDA	2,740,020	35.0%	2,836,447	35.1%	2,893,816	34.9%	2,952,247	34.7%	3,011,758	34.5%
Reserve for Replacement	313,536	4.0%	323,302	4.0%	331,676	4.0%	340,269	4.0%	349,088	4.0%
Net Operating Income	$2,426,484	31.0%	$2,513,145	31.1%	$2,562,139	30.9%	$2,611,978	30.7%	$2,662,670	30.5%
NOI / Key	*$14,026*		*$14,527*		*$14,810*		*$15,098*		*$15,391*	
Operating Statistics										
Occupancy	77.5%		78.0%		78.0%		78.0%		78.0%	
Average Daily Rate	$145.68		$149.32		$153.05		$156.88		$160.80	
RevPAR	$112.90		$116.47		$119.38		$122.37		$125.42	
Number of Rooms	173		173		173		173		173	
Days In Period	365		365		365		365		365	
Available Rooms	63,145		63,145		63,145		63,145		63,145	
Occupied Rooms	48,937		49,253		49,253		49,253		49,253	

Projected Leveraged Return Analysis – Courtyard

Source and Use of Funds			Per Key			
Property Acquisition		$27,000,000	$156,069	First Mortgage - Assumed	$16,250,000	58%
Renovation		346,000	2,000	Equity	11,636,000	42%
Closing Costs	2.0%	540,000	3,121			
Total Use of Funds		$27,886,000	$161,191	Total Source of Funds	$27,886,000	100%

Number of Rooms	**173**	YR1 Debt Yield	14.9%

Capital Gain Calculation	
Sixth Year Net Operating Income	$2,778,380
Terminal Cap Rate	8.5%
Gross Sales Price	$32,686,822
Selling Costs	2.0%
Net Sales Price	$32,033,085
Remaining Mortgage Balance	$16,250,000
Return of Equity	11,636,000
	-
Capital Gain	$4,147,085
Sales Price per Room	$188,941

Room Rev. Multiple	Acquisition	Total
T-12	3.93 x	4.06 x
FCST 2026	3.90 x	4.03 x
Year One	3.79 x	3.91 x

YE 2025, All-In Cap Rate	7.4%	Year One, All-In Cap Rate	8.7%
YE 2025, Acquisition Cap Rate	7.6%	Year One, Acquisition Cap Rate	9.0%
T-12 2026, All-In Cap Rate	7.8%	Year One, EBITDA Multiple	9.85 x
T-12 2026, Acquisition Cap Rate	8.0%	Year Two, All-In Cap Rate	9.0%
FCST 2026, All-In Cap Rate	8.0%	Year Two, Acquisition Cap Rate	9.3%
FCST 2026, Acquisition Cap Rate	8.2%	Year Two, EBITDA Multiple	9.52 x
FCST 2026, EBITDA Multiple	10.70 x		

First Mortgage						
Mortgage Amount		$16,250,000		Term:		10 Years
Interest Rate		Fixed		Prepayment Penalty (as of 9/2026):		$806,178
Amortization Period		Interest Only		Maturity Date:		7/1/2032
	Annual Interest Rate:	5.90%	5.90%	5.90%	5.90%	5.90%
		Year One	Year Two	Year Three	Year Four	Year Five
Beginning Balance		$16,250,000	$16,250,000	$16,250,000	$16,250,000	$16,250,000
Annual Payment		958,750	958,750	958,750	958,750	958,750
Portion to Interest		958,750	958,750	958,750	958,750	958,750
Portion to Principal		-	-	-	-	-
Ending Balance		$16,250,000	$16,250,000	$16,250,000	$16,250,000	$16,250,000

Yearly Cash Flow Summary	Year One	Year Two	Year Three	Year Four	Year Five	Year Six
Net Operating Income	$2,426,484	$2,513,145	$2,562,139	$2,611,978	$2,662,670	$2,778,380
First Mortgage Annual Payment	958,750	958,750	958,750	958,750	958,750	
Cash Flow after Debt Service	$1,467,734	$1,554,395	$1,603,389	$1,653,228	$1,703,920	
NOI/Key	$14,026	$14,527	$14,810	$15,098	$15,391	
Debt Yield	14.9%	15.5%	15.8%	16.1%	16.4%	
Debt Service Coverage Ratio	2.53	2.62	2.67	2.72	2.78	

Leveraged IRR Analysis	Year Zero	Year One	Year Two	Year Three	Year Four	Year Five
Equity	(11,636,000)					
Cash Flow after Debt Service		1,467,734	1,554,395	1,603,389	1,653,228	1,703,920
Net Sales Price						32,033,085
Remaining Mortgage Balance						(16,250,000)
Net Cash Flow	($11,636,000)	$1,467,734	$1,554,395	$1,603,389	$1,653,228	$17,487,005
Cash-on-Cash Return		12.6%	13.4%	13.8%	14.2%	

Five-Year Leveraged IRR	18.5%
Equity Multiple	2.04 x

Note:
The financial projections and investment analyses represented herein contain estimates and assumptions based on our study of the current market conditions. Hodges Ward Elliott, LLC. neither warrants nor guarantees the results of these projections and analyses since unanticipated events and circumstances may occur.

Projected Unleveraged Return Analysis – Courtyard

Source and Use of Funds

		Per Key
Property Acquisition	$27,000,000	$156,069
Renovation	346,000	2,000
Closing Costs	540,000	3,121
Total Use of Funds	$27,886,000	$161,191

Number of Rooms 173

Ten-Year Unleveraged IRR Analysis

	Year One	Year Two	Year Three	Year Four	Year Five	Year Six	Year Seven	Year Eight	Year Nine	Year Ten	Year Eleven
Net Operating Income	$2,426,484	$2,513,145	$2,562,139	$2,611,978	$2,662,670	$2,778,380	$2,898,815	$3,024,161	$3,154,610	$3,290,364	$3,431,629

Eleventh Year Net Operating Income	$3,431,629
Terminal Cap Rate	9.0%
Gross Sales Price	$38,129,212
Selling Costs	2.0%
Net Sales Price	$37,366,628
Return of Equity	27,886,000
Capital Gain	$9,480,628
Sales Price per Room	$220,400

	Year Zero	Year One	Year Two	Year Three	Year Four	Year Five	Year Six	Year Seven	Year Eight	Year Nine	Year Ten
Total Use of Funds	($27,886,000)										
Net Operating Income		2,426,484	2,513,145	2,562,139	2,611,978	2,662,670	2,778,380	2,898,815	3,024,161	3,154,610	3,290,364
Net Sales Price											37,366,628
Net Cash Flow	($27,886,000)	$2,426,484	$2,513,145	$2,562,139	$2,611,978	$2,662,670	$2,778,380	$2,898,815	$3,024,161	$3,154,610	$40,656,992
Unleveraged Cash-on-Cash Return		8.7%	9.0%	9.2%	9.4%	9.5%	10.0%	10.4%	10.8%	11.3%	

Ten-Year Unleveraged IRR	11.7%
Equity Multiple	2.34 x
Percentage of Return from Residual	44.4%
Percentage of Return from Cash Flow	55.6%

Valuation Metrics & Key Assumptions

Hyatt Place Sandestin at Grand Boulevard

VALUATION METRICS

VALUE:	**$12,000,000**
VALUE PER ROOM:	**$142,857**
ESTIMATED CAPITAL & CLOSING COSTS:	$1,500,000
ALL-IN ACQUISITION COST:	**$13,500,000**
ALL-IN PRICE PER ROOM:	**$160,714**
ALL-IN CAP RATE ON TTM NOI:	5.1%
ALL-IN EBITDA MULTIPLE ON TTM:	15.98 x
ALL-IN CAP RATE ON 2026 FORECAST:	5.4%
ALL-IN EBITDA MULTIPLE ON 2026 FORECAST:	15.09 x
5-YEAR LEVERAGED IRR:	16.8%
10-YEAR UNLEVERAGED IRR:	11.6%

** Metrics recorded at midpoint of value range presented.*

ALL-IN PRICE *

All-In Purchase Price*	All-In Price per Key*	Cap Rate on Forecast 2026	Cap Rate on Proforma Year One
$12,700,000	$151,190	5.8%	7.1%
$13,100,000	$155,952	5.6%	6.9%
$13,500,000	**$160,714**	**5.4%**	**6.7%**
$13,900,000	$165,476	5.3%	6.5%
$14,300,000	$170,238	5.1%	6.3%
Net Operating Income		**$732,080**	**$906,839**

** Note: Includes Capex & Closing Costs.*

KEY ASSUMPTIONS

- Assumes $1,260,000 ($15,000 per key) in renovation capital for a new buyer.
- Unencumbered of Management & Management Fee equaling 3.0% of Total Revenue.
- FF&E Reserve equaling 4.0% of Total Revenue.
- Property insurance at the midpoint of Franklin Street's high and low premium estimates.
- Year One = 2027
- Acquisition financing assumes 65% LTC: new $8.775M loan at SOFR + 300 bps (7.53% in Year One), interest only for 5 years.
- Closing costs equal to 2.0% of purchase price.
- Terminal capitalization rate equal to 8.50%.
- Perla Baking Co. lease: $41,309 minimum rent (+2%/yr) plus 8% of sales above $732,975; expires Oct. 2030 or later.

Historical Cash Flow Summary – Hyatt Place

HYATT PLACE SANDESTIN AT GRAND BOULEVARD

		Year Ended December 31, 2022		Year Ended December 31, 2023		Year Ended December 31, 2024		Year Ended December 31, 2025		Trailing Twelve August 31, 2026		Forecast Year Ended December 31, 2026[3]	
		Amount	Ratio	Amount	Ratio	Amount	Ratio	Amount	Ratio	Amount	Ratio	Amount	Ratio
Revenue													
Rooms		$4,355,161	95.1%	$4,174,241	95.2%	$3,880,970	94.6%	$3,736,354	94.7%	$3,736,960	93.8%	$3,805,777	93.6%
Food & Beverage		142,800	3.1%	138,008	3.1%	163,383	4.0%	143,543	3.6%	166,261	4.2%	182,925	4.5%
Other		79,936	1.7%	71,819	1.6%	58,960	1.4%	67,327	1.7%	82,384	2.1%	78,230	1.9%
Total Revenue		4,577,897	100.0%	4,384,068	100.0%	4,103,313	100.0%	3,947,224	100.0%	3,985,605	100.0%	4,066,932	100.0%
Departmental Expenses													
Rooms		1,238,059	28.4%	1,298,567	31.1%	1,287,282	33.2%	1,281,958	34.3%	1,248,951	33.4%	1,275,193	33.5%
Food & Beverage		96,934	67.9%	116,943	84.7%	101,783	62.3%	123,213	85.8%	117,425	70.6%	121,689	66.5%
Other		24,351	30.5%	18,096	25.2%	20,373	34.6%	24,255	36.0%	21,220	25.8%	19,642	25.1%
Total Departmental Expenses		1,359,344	29.7%	1,433,606	32.7%	1,409,438	34.3%	1,429,426	36.2%	1,387,596	34.8%	1,416,524	34.8%
Total Departmental Profit		3,218,553	70.3%	2,950,462	67.3%	2,693,875	65.7%	2,517,798	63.8%	2,598,009	65.2%	2,650,408	65.2%
Undistributed Oper. Expenses													
Admin. & Gen.		471,140	10.3%	482,892	11.0%	421,058	10.3%	386,911	9.8%	429,812	10.8%	425,319	10.5%
Info. & Telecomm. Systems		44,372	1.0%	43,940	1.0%	47,549	1.2%	59,188	1.5%	55,478	1.4%	57,210	1.4%
Franchise Fees		441,857	9.7%	418,954	9.6%	399,680	9.7%	373,144	9.5%	372,242	9.3%	374,367	9.2%
Marketing		171,489	3.7%	161,687	3.7%	175,204	4.3%	190,032	4.8%	165,024	4.1%	157,546	3.9%
Utility Costs		173,123	3.8%	162,400	3.7%	161,182	3.9%	156,999	4.0%	158,750	4.0%	158,498	3.9%
Property Oper. & Maint.		219,458	4.8%	254,690	5.8%	253,621	6.2%	255,566	6.5%	264,883	6.6%	269,027	6.6%
Total Undistributed Oper. Expenses		1,521,439	33.2%	1,524,563	34.8%	1,458,294	35.5%	1,421,840	36.0%	1,446,189	36.3%	1,441,967	35.5%
Gross Operating Profit		1,697,114	37.1%	1,425,899	32.5%	1,235,581	30.1%	1,095,958	27.8%	1,151,820	28.9%	1,208,441	29.7%
Management Fees	*(1)*	137,337	3.0%	131,522	3.0%	123,099	3.0%	118,417	3.0%	119,568	3.0%	122,008	3.0%
Income Before Fixed Charges		1,559,777	34.1%	1,294,377	29.5%	1,112,482	27.1%	977,541	24.8%	1,032,252	25.9%	1,086,433	26.7%
Fixed Charges													
Non-Operating Income		(107,913)	-2.4%	(106,831)	-2.4%	(96,897)	-2.4%	(57,179)	-1.4%	(35,690)	-0.9%	(56,620)	-1.4%
Insurance		142,910	3.1%	148,136	3.4%	167,499	4.1%	136,557	3.5%	127,835	3.2%	149,764	3.7%
Property Taxes		93,778	2.0%	94,639	2.2%	95,201	2.3%	95,559	2.4%	95,559	2.4%	98,532	2.4%
Total Fixed Charges		128,775	2.8%	135,944	3.1%	165,803	4.0%	174,937	4.4%	187,704	4.7%	191,676	4.7%
EBITDA		1,431,002	31.3%	1,158,433	26.4%	946,679	23.1%	802,604	20.3%	844,548	21.2%	894,757	22.0%
Reserve for Replacement	*(2)*	183,116	4.0%	175,363	4.0%	164,133	4.0%	157,889	4.0%	159,424	4.0%	162,677	4.0%
Net Operating Income		$1,247,886	27.3%	$983,070	22.4%	$782,546	19.1%	$644,715	16.3%	$685,124	17.2%	$732,080	18.0%
NOI / Key		*$14,856*		*$11,703*		*$9,316*		*$7,675*		*$8,156*		*$8,715*	
Operating Statistics													
Occupancy		72.9%		78.4%		81.4%		80.9%		78.3%		78.6%	
Average Daily Rate		$194.98		$173.67		$155.13		$150.68		$155.72		$157.82	
RevPAR		$142.05		$136.15		$126.24		$121.86		$121.88		$124.13	
Number of Rooms		84		84		84		84		84		84	
Days In Period		365		365		366		365		365		365	
Available Rooms		30,660		30,660		30,744		30,660		30,660		30,660	
Occupied Rooms		22,336		24,035		25,018		24,797		23,998		24,114	

(1) Included on a pro forma basis at 3% of Total Revenue.
(2) Included on a pro forma basis at 4% of Total Revenue.
(3) Includes actuals through August + Budget September - December.

Historical & Projected Penetration Analysis – Hyatt Place

HYATT PLACE SANDESTIN AT GRAND BOULEVARD

Subject Property	Year End Dec. 31, 2022	Year End Dec. 31, 2023	Year End Dec. 31, 2024	Year End Dec. 31, 2025	YTD Ending Aug. 31, 2025	YTD Ending Aug. 31, 2026	T-12 Aug. 31, 2026	Compded. % Change 2022-2025	Property Forecast 2026 *	2027 Renovation Year 1 *	2028 Year 2	2029 Year 3	2030 Year 4	2031 Year 5	Compded. % Change YR1 - YR5	Compded. % Change YR2 - YR5
Occupancy	72.8%	78.3%	81.3%	80.9%	84.2%	80.4%	78.3%		78.6%	75.0%	80.0%	81.0%	81.0%	81.0%		
% Change	•••	7.5%	3.8%	-0.5%	1.1%	-4.5%	-4.4%	3.5%	-2.7%	-4.6%	6.7%	1.3%	0.0%	0.0%	1.9%	0.4%
Occupancy Penetration	111.2%	115.4%	126.4%	123.4%	117.4%	116.7%	123.0%		124.4%	117.4%	124.6%	125.5%	125.5%	125.5%		
Rank		1 of 5	1 of 5	1 of 5	1 of 5	1 of 5	1 of 5									
Average Daily Rate	$194.76	$172.73	$154.88	$150.73	$170.89	$178.77	$155.47		$157.82	$162.56	$170.69	$175.81	$180.20	$184.71		
% Change	•••	-11.3%	-10.3%	-2.7%	-3.0%	4.6%	2.7%	-8.2%	4.7%	3.0%	5.0%	3.0%	2.5%	2.5%	3.2%	2.7%
ADR Penetration	105.2%	98.5%	93.7%	93.9%	96.0%	95.4%	93.1%		93.6%	93.6%	95.9%	96.4%	96.4%	96.4%		
Rank		3 of 5	4 of 5	3 of 5	3 of 5	3 of 5	3 of 5									
RevPAR	$141.87	$135.31	$125.92	$121.89	$143.84	$143.70	$121.80		$124.13	$121.92	$136.55	$142.40	$145.96	$149.61		
% Change	•••	-4.6%	-6.9%	-3.2%	-1.9%	-0.1%	-1.7%	-4.9%	1.8%	-1.8%	12.0%	4.3%	2.5%	2.5%	5.3%	3.1%
RevPAR Penetration	116.9%	113.7%	118.3%	115.8%	112.6%	111.3%	114.6%		116.4%	109.9%	119.5%	121.0%	121.0%	121.0%		
Rank		2 of 5	2 of 5	2 of 5	2 of 5	2 of 5	2 of 5									

Competitive Set (1)	Year End Dec. 31, 2022	Year End Dec. 31, 2023	Year End Dec. 31, 2024	Year End Dec. 31, 2025	YTD Ending Aug. 31, 2025	YTD Ending Aug. 31, 2026	T-12 Aug. 31, 2026	Compded. % Change 2022-2025	HWE Projected 2026 *	Year 1 *	Year 2	Year 3	Year 4	Year 5	Compded. % Change YR1 - YR5	Compded. % Change YR2 - YR5
Occupancy	65.5%	67.9%	64.3%	65.5%	71.7%	68.9%	63.7%		63.2%	63.9%	64.2%	64.5%	64.5%	64.5%		
% Change	•••	3.6%	-5.2%	1.9%	5.4%	-4.0%	-4.7%	0.0%	-3.5%	1.0%	0.5%	0.5%	0.0%	0.0%	0.2%	0.2%
Average Daily Rate	$185.18	$175.28	$165.35	$160.59	$178.07	$187.44	$166.94		$168.61	$173.67	$178.02	$182.47	$187.03	$191.70		
% Change	•••	-5.3%	-5.7%	-2.9%	-4.6%	5.3%	4.3%	-4.6%	5.0%	3.0%	2.5%	2.5%	2.5%	2.5%	2.5%	2.5%
RevPAR	$121.33	$118.97	$106.40	$105.25	$127.70	$129.08	$106.30		$106.64	$110.94	$114.28	$117.73	$120.67	$123.69		
% Change	•••	-1.9%	-10.6%	-1.1%	0.5%	1.1%	-0.5%	-4.6%	1.3%	4.0%	3.0%	3.0%	2.5%	2.5%	2.8%	2.7%

(1) Historical results for the Competitive Set are derived from STR data. Projections for Years One through Five for the Hotel and the Competitive Set are based on our study of the current market conditions. HWE neither warrants nor guarantees the results of these projections and analyses since unanticipated events and circumstances may occur.
** Forecast 2026 percentage change is calculated from Year End 2025.*
** Proforma Year 1 percentage change is calculated from Forecast 2026.*

	Key Count:	Open Date:
• Subject Property NOT included	84	Dec-18
Competitive Set includes:		
• Fairfield Inn & Suites Destin	100	Feb-00
• Hampton Inn & Suites Destin	134	Jan-14
• Hilton Garden Inn Destin Miramar Beach	111	May-20
• Holiday Inn Express & Suites Destin - Miramar Beach	74	Jul-05
	419	

Projected Cash Flow Summary – Hyatt Place

	2027 Renovation Year One		2028 Year Two		2029 Year Three		2030 Year Four		2031 Year Five	
	Amount	*Ratio*	*Amount*	*Ratio*	*Amount*	*Ratio*	*Amount*	*Ratio*	*Amount*	*Ratio*
Revenue										
Rooms	$3,738,047	93.6%	$4,186,612	93.8%	$4,366,113	93.8%	$4,475,266	93.7%	$4,587,148	93.7%
Food & Beverage	178,211	4.5%	196,224	4.4%	205,630	4.4%	212,828	4.5%	220,277	4.5%
Other	78,000	2.0%	80,400	1.8%	83,214	1.8%	86,126	1.8%	89,141	1.8%
Total Revenue	3,994,258	100.0%	4,463,236	100.0%	4,654,958	100.0%	4,774,220	100.0%	4,896,565	100.0%
Departmental Expenses										
Rooms	1,195,740	32.0%	1,226,400	29.3%	1,278,982	29.3%	1,317,351	29.4%	1,356,872	29.6%
Food & Beverage	117,619	66.0%	129,508	66.0%	135,060	65.7%	139,112	65.4%	143,286	65.0%
Other	19,500	25.0%	20,100	25.0%	20,703	24.9%	21,324	24.8%	21,964	24.6%
Total Departmental Expenses	1,332,859	33.4%	1,376,008	30.8%	1,434,745	30.8%	1,477,788	31.0%	1,522,121	31.1%
Total Departmental Profit	2,661,398	66.6%	3,087,228	69.2%	3,220,212	69.2%	3,296,432	69.0%	3,374,444	68.9%
Undistributed Oper. Expenses										
Admin. & Gen.	288,000	7.2%	300,000	6.7%	309,000	6.6%	318,270	6.7%	327,818	6.7%
Info. & Telecomm. Systems	55,920	1.4%	62,485	1.4%	64,360	1.4%	66,291	1.4%	68,279	1.4%
Franchise Fees	367,704	9.2%	411,829	9.2%	429,486	9.2%	440,223	9.2%	451,229	9.2%
Marketing	159,770	4.0%	178,529	4.0%	183,885	4.0%	189,402	4.0%	195,084	4.0%
Utility Costs	155,216	3.9%	168,017	3.8%	175,221	3.8%	180,477	3.8%	185,891	3.8%
Property Oper. & Maint.	267,615	6.7%	272,257	6.1%	280,425	6.0%	288,838	6.0%	297,503	6.1%
Total Undistributed Oper. Expenses	1,294,226	32.4%	1,393,118	31.2%	1,442,377	31.0%	1,483,501	31.1%	1,525,805	31.2%
Gross Operating Profit	1,367,173	34.2%	1,694,110	38.0%	1,777,835	38.2%	1,812,931	38.0%	1,848,639	37.8%
Management Fees	119,828	3.0%	133,897	3.0%	139,649	3.0%	143,227	3.0%	146,897	3.0%
Income Before Fixed Charges	1,247,345	31.2%	1,560,213	35.0%	1,638,187	35.2%	1,669,705	35.0%	1,701,742	34.8%
Fixed Charges										
Non-Operating Income	(57,752)	-1.4%	(58,907)	-1.3%	(60,086)	-1.3%	(61,287)	-1.3%	(62,513)	-1.3%
Insurance	137,000	3.4%	141,110	3.2%	145,343	3.1%	149,704	3.1%	154,195	3.1%
Property Taxes	101,488	2.5%	104,533	2.3%	107,669	2.3%	110,899	2.3%	114,226	2.3%
Total Fixed Charges	180,736	4.5%	186,735	4.2%	192,926	4.1%	199,315	4.2%	205,907	4.2%
EBITDA	1,066,609	26.7%	1,373,478	30.8%	1,445,260	31.0%	1,470,390	30.8%	1,495,835	30.5%
Reserve for Replacement	159,770	4.0%	178,529	4.0%	186,198	4.0%	190,969	4.0%	195,863	4.0%
Net Operating Income	$906,839	22.7%	$1,194,949	26.8%	$1,259,062	27.0%	$1,279,421	26.8%	$1,299,972	26.5%
NOI / Key	*$10,796*		*$14,226*		*$14,989*		*$15,231*		*$15,476*	
Operating Statistics										
Occupancy	75.0%		80.0%		81.0%		81.0%		81.0%	
Average Daily Rate	$162.56		$170.69		$175.81		$180.20		$184.71	
RevPAR	$121.92		$136.55		$142.40		$145.96		$149.61	
Number of Rooms	84		84		84		84		84	
Days In Period	365		365		365		365		365	
Available Rooms	30,660		30,660		30,660		30,660		30,660	
Occupied Rooms	22,995		24,528		24,835		24,835		24,835	

Projected Leveraged Return Analysis – Hyatt Place

Source and Use of Funds

			Per Key			
Property Acquisition		$12,000,000	$142,857	First Mortgage	$8,775,000	65%
Renovation		1,260,000	15,000	Equity	4,725,000	35%
Closing Costs	2.0%	240,000	2,857			
Total Use of Funds		$13,500,000	$160,714	Total Source of Funds	$13,500,000	100%

Number of Rooms **84**

YR1 Debt Yield	10.3%

Room Rev. Multiple	Acquisition	Total
T-12	3.21 x	3.61 x
FCST 2026	3.15 x	3.55 x
Year One	3.21 x	3.61 x

YE 2025, All-In Cap Rate	4.8%
YE 2025, Acquisition Cap Rate	5.4%
T-12 2026, All-In Cap Rate	5.1%
T-12 2026, Acquisition Cap Rate	5.7%
FCST 2026, All-In Cap Rate	5.4%
FCST 2026, Acquisition Cap Rate	6.1%
FCST 2026, EBITDA Multiple	13.41 x

Year One, All-In Cap Rate	6.7%
Year One, Acquisition Cap Rate	7.6%
Year One, EBITDA Multiple	11.25 x
Year Two, All-In Cap Rate	8.9%
Year Two, Acquisition Cap Rate	10.0%
Year Two, EBITDA Multiple	8.74 x

First Mortgage

Mortgage Amount		$8,775,000				
Interest Rate		Variable				
Amortization Period		Interest Only				
	SOFR Base:	4.53%	4.74%	4.73%	4.70%	4.75%
	Spread:	3.00%	3.00%	3.00%	3.00%	3.00%
	Annual Interest Rate:	7.53%	7.74%	7.73%	7.70%	7.75%
		Year One	Year Two	Year Three	Year Four	Year Five
Beginning Balance		$8,775,000	$8,775,000	$8,775,000	$8,775,000	$8,775,000
Annual Payment		660,604	678,949	677,964	676,014	679,876
Portion to Interest		660,604	678,949	677,964	676,014	679,876
Portion to Principal		-	-	-	-	-
Ending Balance		$8,775,000	$8,775,000	$8,775,000	$8,775,000	$8,775,000

Yearly Cash Flow Summary

	Year One	Year Two	Year Three	Year Four	Year Five	Year Six
Net Operating Income	$906,839	$1,194,949	$1,259,062	$1,279,421	$1,299,972	$1,358,859
First Mortgage Annual Payment	660,604	678,949	677,964	676,014	679,876	
Cash Flow after Debt Service	$246,235	$516,000	$581,098	$603,408	$620,096	
NOI/Key	$10,796	$14,226	$14,989	$15,231	$15,476	
Debt Yield	10.3%	13.6%	14.3%	14.6%	14.8%	
Debt Service Coverage Ratio	1.37	1.76	1.86	1.89	1.91	

Leveraged IRR Analysis

	Year Zero	Year One	Year Two	Year Three	Year Four	Year Five
Equity	(4,725,000)					
Cash Flow after Debt Service		246,235	516,000	581,098	603,408	620,096
Net Sales Price						15,666,846
Remaining Mortgage Balance						(8,775,000)
Net Cash Flow	($4,725,000)	$246,235	$516,000	$581,098	$603,408	$7,511,942
Cash-on-Cash Return		5.2%	10.9%	12.3%	12.8%	

Five-Year Leveraged IRR	16.8%
Equity Multiple	2.00 x

Capital Gain Calculation

Sixth Year Net Operating Income	$1,358,859
Terminal Cap Rate	8.5%
Gross Sales Price	$15,986,577
Selling Costs	2.0%
Net Sales Price	$15,666,846
Remaining Mortgage Balance	$8,775,000
Return of Equity	4,725,000
	-
Capital Gain	$2,166,846
Sales Price per Room	$190,316

Projected Unleveraged Return Analysis – Hyatt Place

Source and Use of Funds

		Per Key		
Property Acquisition	$12,000,000	$142,857	Number of Rooms	84
Renovation	1,260,000	15,000		
Closing Costs	240,000	2,857		
Total Use of Funds	$13,500,000	$160,714		

Ten-Year Unleveraged IRR Analysis

	Year One	Year Two	Year Three	Year Four	Year Five	Year Six	Year Seven	Year Eight	Year Nine	Year Ten	Year Eleven
Net Operating Income	$906,839	$1,194,949	$1,259,062	$1,279,421	$1,299,972	$1,358,859	$1,420,218	$1,484,148	$1,550,752	$1,620,137	$1,692,414

Eleventh Year Net Operating Income	$1,692,414
Terminal Cap Rate	9.0%
Gross Sales Price	$18,804,598
Selling Costs	2.0%
Net Sales Price	$18,428,506
Return of Equity	13,500,000
Capital Gain	$4,928,506
Sales Price per Room	$223,864

	Year Zero	Year One	Year Two	Year Three	Year Four	Year Five	Year Six	Year Seven	Year Eight	Year Nine	Year Ten
Total Use of Funds	($13,500,000)										
Net Operating Income		906,839	1,194,949	1,259,062	1,279,421	1,299,972	1,358,859	1,420,218	1,484,148	1,550,752	1,620,137
Net Sales Price											18,428,506
Net Cash Flow	($13,500,000)	$906,839	$1,194,949	$1,259,062	$1,279,421	$1,299,972	$1,358,859	$1,420,218	$1,484,148	$1,550,752	$20,048,643
Unleveraged Cash-on-Cash Return		6.7%	8.9%	9.3%	9.5%	9.6%	10.1%	10.5%	11.0%	11.5%	

Ten-Year Unleveraged IRR	11.6%
Equity Multiple	2.36 x
Percentage of Return from Residual	45.6%
Percentage of Return from Cash Flow	54.4%

Valuation Metrics & Key Assumptions

Residence Inn Sandestin at Grand Boulevard

VALUATION METRICS

VALUE:	$19,000,000
VALUE PER ROOM:	$159,664
ESTIMATED CAPITAL & CLOSING COSTS:	$618,000
ALL-IN ACQUISITION COST:	$19,618,000
ALL-IN PRICE PER ROOM:	$164,857
ALL-IN CAP RATE ON TTM NOI:	7.4%
ALL-IN EBITDA MULTIPLE ON TTM:	11.80 x
ALL-IN CAP RATE ON 2026 FORECAST:	7.5%
ALL-IN EBITDA MULTIPLE ON 2026 FORECAST:	11.71 x
5-YEAR LEVERAGED IRR:	20.8%
10-YEAR UNLEVERAGED IRR:	11.3%

** Metrics recorded at midpoint of value range presented.*

ALL-IN PRICE *

All-In Purchase Price*	All-In Price per Key*	Cap Rate on Forecast 2026	Cap Rate on Proforma Year One
$17,868,000	$150,151	8.2%	9.3%
$18,743,000	$157,504	7.8%	8.8%
$19,618,000	**$164,857**	**7.5%**	**8.4%**
$20,493,000	$172,210	7.2%	8.1%
$21,368,000	$179,563	6.9%	7.7%
Net Operating Income		**$1,470,528**	**$1,653,061**

** Note: Includes Capex & Closing Costs.*

KEY ASSUMPTIONS

- Assumes $238,000 ($2,000 per key) in renovation capital for a new buyer; no separate PIP.
- Unencumbered of Management & Management Fee equaling 3.0% of Total Revenue.
- FF&E Reserve equaling 4.0% of Total Revenue.
- Property insurance at the midpoint of Franklin Street's high and low premium estimates.
- Year One = 2027
- Acquisition financing assumes 69.7% LTC: existing Residence Inn CMBS loan of $13.675M at 5.99% fixed, interest only.
- Closing costs equal to 2.0% of purchase price.
- Terminal capitalization rate equal to 8.50%.

Historical Cash Flow Summary – Residence Inn

Residence INN SANDESTIN AT GRAND BOULEVARD

		Year Ended December 31, 2022		Year Ended December 31, 2023		Year Ended December 31, 2024		Year Ended December 31, 2025		Trailing Twelve August 31, 2026		Forecast Year Ended December 31, 2026[3]	
		Amount	Ratio	Amount	Ratio	Amount	Ratio	Amount	Ratio	Amount	Ratio	Amount	Ratio
Revenue													
Rooms		$4,659,570	96.8%	$4,605,150	97.4%	$4,576,576	97.1%	$4,881,458	97.7%	$4,999,161	97.9%	$5,002,509	97.9%
Other		152,295	3.2%	124,543	2.6%	138,143	2.9%	115,274	2.3%	108,185	2.1%	104,859	2.1%
Total Revenue		4,811,865	100.0%	4,729,693	100.0%	4,714,719	100.0%	4,996,732	100.0%	5,107,346	100.0%	5,107,368	100.0%
Departmental Expenses													
Rooms		1,177,307	25.3%	1,203,572	26.1%	1,260,288	27.5%	1,277,139	26.2%	1,266,544	25.3%	1,269,203	25.4%
Other		20,276	13.3%	18,662	15.0%	22,381	16.2%	22,674	19.7%	23,778	22.0%	23,450	22.4%
Total Departmental Expenses		1,197,583	24.9%	1,222,234	25.8%	1,282,669	27.2%	1,299,813	26.0%	1,290,322	25.3%	1,292,653	25.3%
Total Departmental Profit		3,614,282	75.1%	3,507,459	74.2%	3,432,050	72.8%	3,696,919	74.0%	3,817,024	74.7%	3,814,715	74.7%
Undistributed Oper. Expenses													
Admin. & Gen.		439,283	9.1%	397,911	8.4%	395,411	8.4%	406,318	8.1%	404,024	7.9%	387,879	7.6%
Info. & Telecomm. Systems		53,296	1.1%	81,467	1.7%	40,391	0.9%	41,329	0.8%	40,239	0.8%	40,543	0.8%
Franchise Fees		398,915	8.3%	408,732	8.6%	406,742	8.6%	424,122	8.5%	480,249	9.4%	485,930	9.5%
Marketing		205,504	4.3%	203,003	4.3%	216,074	4.6%	227,063	4.5%	213,488	4.2%	207,158	4.1%
Utility Costs		228,032	4.7%	217,236	4.6%	208,466	4.4%	215,882	4.3%	215,739	4.2%	217,875	4.3%
Property Oper. & Maint.		329,676	6.9%	333,434	7.0%	332,398	7.1%	345,518	6.9%	344,499	6.7%	333,150	6.5%
Total Undistributed Oper. Expenses		1,654,706	34.4%	1,641,783	34.7%	1,599,482	33.9%	1,660,232	33.2%	1,698,238	33.3%	1,672,535	32.7%
Gross Operating Profit		1,959,576	40.7%	1,865,676	39.4%	1,832,568	38.9%	2,036,687	40.8%	2,118,786	41.5%	2,142,180	41.9%
Management Fees	*(1)*	144,356	3.0%	141,891	3.0%	141,442	3.0%	149,902	3.0%	153,220	3.0%	153,221	3.0%
Income Before Fixed Charges		1,815,220	37.7%	1,723,785	36.4%	1,691,126	35.9%	1,886,785	37.8%	1,965,566	38.5%	1,988,959	38.9%
Fixed Charges													
Insurance		134,822	2.8%	170,007	3.6%	204,173	4.3%	163,152	3.3%	169,401	3.3%	180,996	3.5%
Property Taxes		110,813	2.3%	111,733	2.4%	115,796	2.5%	127,006	2.5%	133,934	2.6%	133,140	2.6%
Total Fixed Charges		245,635	5.1%	281,740	6.0%	319,969	6.8%	290,158	5.8%	303,335	5.9%	314,136	6.2%
EBITDA		1,569,585	32.6%	1,442,045	30.5%	1,371,157	29.1%	1,596,627	32.0%	1,662,231	32.5%	1,674,823	32.8%
Reserve for Replacement	*(2)*	192,475	4.0%	189,188	4.0%	188,589	4.0%	199,869	4.0%	204,294	4.0%	204,295	4.0%
Net Operating Income		$1,377,110	28.6%	$1,252,857	26.5%	$1,182,569	25.1%	$1,396,758	28.0%	$1,457,937	28.5%	$1,470,528	28.8%
NOI / Key		*$11,572*		*$10,528*		*$9,938*		*$11,737*		*$12,252*		*$12,357*	

Operating Statistics						
Occupancy	65.3%	68.7%	67.4%	74.0%	74.8%	74.6%
Average Daily Rate	$164.32	$154.28	$155.90	$151.87	$153.89	$154.34
RevPAR	$107.28	$106.02	$105.08	$112.39	$115.10	$115.17
Number of Rooms	119	119	119	119	119	119
Days In Period	365	365	366	365	365	365
Available Rooms	43,435	43,435	43,554	43,435	43,435	43,435
Occupied Rooms	28,356	29,850	29,355	32,143	32,485	32,412

(1) Included on a pro forma basis at 3% of Total Revenue.
(2) Included on a pro forma basis at 4% of Total Revenue.
(3) Includes actuals through August + Budget September - December.

Historical & Projected Penetration Analysis – Residence Inn

Residence INN SANDESTIN AT GRAND BOULEVARD

Subject Property	Year End Dec. 31, 2022	Year End Dec. 31, 2023	Year End Dec. 31, 2024	Year End Dec. 31, 2025	YTD Ending Aug. 31, 2025	YTD Ending Aug. 31, 2026	T-12 Aug. 31, 2026	Compded. % Change 2022-2025	Property Forecast 2026 *	2027 Year 1 *	2028 Year 2	2029 Year 3	2030 Year 4	2031 Year 5	Compded. % Change YR1 - YR5	Compded. % Change YR2 - YR5
Occupancy	65.2%	68.7%	67.4%	74.0%	78.8%	80.7%	75.3%		74.6%	75.0%	75.5%	76.0%	76.0%	76.0%		
% Change	-0.9%	5.3%	-1.9%	9.8%	13.3%	2.4%	2.3%	4.3%	0.8%	0.5%	0.7%	0.7%	0.0%	0.0%	0.3%	0.2%
Occupancy Penetration	102.5%	102.0%	99.4%	108.4%	108.5%	112.3%	111.1%		109.8%	109.8%	110.0%	110.2%	110.2%	110.2%		
Rank	2 of 7	4 of 7	5 of 7	2 of 7	2 of 7	1 of 6	1 of 6									
Average Daily Rate	$168.05	$156.24	$157.84	$153.05	$166.65	$167.87	$154.14		$154.34	$157.43	$161.36	$165.40	$169.53	$173.77		
% Change	-7.9%	-7.0%	1.0%	-3.0%	-4.2%	0.7%	0.1%	-3.1%	0.8%	2.0%	2.5%	2.5%	2.5%	2.5%	2.5%	2.5%
ADR Penetration	107.1%	109.6%	119.1%	122.0%	118.3%	119.9%	123.5%		124.3%	124.3%	124.3%	124.3%	124.3%	124.3%		
Rank	3 of 7	3 of 7	3 of 7	2 of 7	3 of 7	2 of 6	2 of 6									
RevPAR	$109.62	$107.36	$106.37	$113.26	$131.39	$135.54	$116.02		$115.17	$118.07	$121.83	$125.70	$128.84	$132.07		
% Change	-8.7%	-2.1%	-0.9%	6.5%	8.5%	3.2%	2.5%	1.1%	1.7%	2.5%	3.2%	3.2%	2.5%	2.5%	2.8%	2.7%
RevPAR Penetration	109.8%	111.7%	118.5%	132.2%	128.3%	134.7%	137.3%		136.5%	136.5%	136.7%	136.9%	136.9%	136.9%		
Rank	2 of 7	3 of 7	3 of 7	2 of 7	2 of 7	2 of 6	2 of 6									

Competitive Set (1)	Year End Dec. 31, 2022	Year End Dec. 31, 2023	Year End Dec. 31, 2024	Year End Dec. 31, 2025	YTD Ending Aug. 31, 2025	YTD Ending Aug. 31, 2026	T-12 Aug. 31, 2026	Compded. % Change 2022-2025	HWE Projected 2026 *	Year 1 *	Year 2	Year 3	Year 4	Year 5	Compded. % Change YR1 - YR5	Compded. % Change YR2 - YR5
Occupancy	63.6%	67.4%	67.8%	68.3%	72.7%	71.9%	67.7%		67.9%	68.3%	68.6%	69.0%	69.0%	69.0%		
% Change	-11.3%	5.9%	0.6%	0.7%	0.2%	-1.1%	-0.2%	2.4%	-0.5%	0.5%	0.5%	0.5%	0.0%	0.0%	0.2%	0.2%
Average Daily Rate	$156.87	$142.57	$132.48	$125.45	$140.83	$140.03	$124.76		$124.20	$126.68	$129.85	$133.09	$136.42	$139.83		
% Change	-3.9%	-9.1%	-7.1%	-5.3%	-4.5%	-0.6%	-2.4%	-7.2%	-1.0%	2.0%	2.5%	2.5%	2.5%	2.5%	2.5%	2.5%
RevPAR	$99.83	$96.08	$89.80	$85.66	$102.37	$100.66	$84.52		$84.38	$86.50	$89.11	$91.79	$94.08	$96.44		
% Change	-14.8%	-3.8%	-6.5%	-4.6%	-4.3%	-1.7%	-2.5%	-5.0%	-1.5%	2.5%	3.0%	3.0%	2.5%	2.5%	2.8%	2.7%

(1) Historical results for the Competitive Set are derived from STR data. Projections for Years One through Five for the Hotel and the Competitive Set are based on our study of the current market conditions. HWE neither warrants nor guarantees the results of these projections and analyses since unanticipated events and circumstances may occur.
** Forecast 2026 percentage change is calculated from Year End 2025.*
** Proforma Year 1 percentage change is calculated from Forecast 2026.*

	Key Count:	Open Date:	
• Subject Property NOT included	119	Apr-06	
Competitive Set includes:			
• Fairfield Inn & Suites Destin	100	Feb-00	
• Holiday Inn Express & Suites Destin E - Commons Mall Area	74	May-02	
• SummerPlace Inn Destin	72	Jun-97	(No data reported after Mar 2025)
• Extended Stay America Destin - US 98 - Emerald Coast Pkwy	101	Jul-01	
• Candlewood Suites Destin-Sandestin Area	75	Mar-08	
• Home2 Suites by Hilton Destin	112	Dec-16	
	534		

Projected Cash Flow Summary – Residence Inn

Residence INN SANDESTIN AT GRAND BOULEVARD

	2027		2028		2029		2030		2031	
	Year One		Year Two		Year Three		Year Four		Year Five	
	Amount	*Ratio*	*Amount*	*Ratio*	*Amount*	*Ratio*	*Amount*	*Ratio*	*Amount*	*Ratio*
Revenue										
Rooms	$5,128,417	97.9%	$5,291,671	98.0%	$5,459,883	98.0%	$5,596,380	97.9%	$5,736,290	97.9%
Other	108,000	2.1%	110,400	2.0%	114,264	2.0%	118,263	2.1%	122,402	2.1%
Total Revenue	5,236,417	100.0%	5,402,071	100.0%	5,574,147	100.0%	5,714,644	100.0%	5,858,692	100.0%
Departmental Expenses										
Rooms	1,303,050	25.4%	1,328,134	25.1%	1,377,037	25.2%	1,418,348	25.3%	1,460,899	25.5%
Other	21,600	20.0%	22,080	20.0%	22,742	19.9%	23,425	19.8%	24,127	19.7%
Total Departmental Expenses	1,324,650	25.3%	1,350,214	25.0%	1,399,780	25.1%	1,441,773	25.2%	1,485,026	25.3%
Total Departmental Profit	3,911,767	74.7%	4,051,858	75.0%	4,174,368	74.9%	4,272,871	74.8%	4,373,666	74.7%
Undistributed Oper. Expenses										
Admin. & Gen.	252,000	4.8%	264,000	4.9%	271,920	4.9%	280,078	4.9%	288,480	4.9%
Info. & Telecomm. Systems	41,891	0.8%	43,217	0.8%	44,513	0.8%	45,848	0.8%	47,224	0.8%
Franchise Fees	498,160	9.5%	514,018	9.5%	530,358	9.5%	543,617	9.5%	557,207	9.5%
Marketing	209,457	4.0%	216,083	4.0%	222,565	4.0%	229,242	4.0%	236,120	4.0%
Utility Costs	223,147	4.3%	227,914	4.2%	236,306	4.2%	243,396	4.3%	250,697	4.3%
Property Oper. & Maint.	340,367	6.5%	351,135	6.5%	361,669	6.5%	372,519	6.5%	383,694	6.5%
Total Undistributed Oper. Expenses	1,565,023	29.9%	1,616,367	29.9%	1,667,332	29.9%	1,714,700	30.0%	1,763,423	30.1%
Gross Operating Profit	2,346,744	44.8%	2,435,491	45.1%	2,507,036	45.0%	2,558,171	44.8%	2,610,244	44.6%
Management Fees	157,093	3.0%	162,062	3.0%	167,224	3.0%	171,439	3.0%	175,761	3.0%
Income Before Fixed Charges	2,189,652	41.8%	2,273,429	42.1%	2,339,812	42.0%	2,386,732	41.8%	2,434,483	41.6%
Fixed Charges										
Insurance	190,000	3.6%	195,700	3.6%	201,571	3.6%	207,618	3.6%	213,847	3.7%
Property Taxes	137,134	2.6%	141,248	2.6%	145,486	2.6%	149,850	2.6%	154,346	2.6%
Total Fixed Charges	327,134	6.2%	336,948	6.2%	347,057	6.2%	357,468	6.3%	368,192	6.3%
EBITDA	1,862,517	35.6%	1,936,480	35.8%	1,992,755	35.7%	2,029,263	35.5%	2,066,290	35.3%
Reserve for Replacement	209,457	4.0%	216,083	4.0%	222,966	4.0%	228,586	4.0%	234,348	4.0%
Net Operating Income	$1,653,061	31.6%	$1,720,398	31.8%	$1,769,789	31.7%	$1,800,678	31.5%	$1,831,943	31.3%
NOI / Key	*$13,891*		*$14,457*		*$14,872*		*$15,132*		*$15,394*	
Operating Statistics										
Occupancy	75.0%		75.5%		76.0%		76.0%		76.0%	
Average Daily Rate	$157.43		$161.36		$165.40		$169.53		$173.77	
RevPAR	$118.07		$121.83		$125.70		$128.84		$132.07	
Number of Rooms	119		119		119		119		119	
Days In Period	365		365		365		365		365	
Available Rooms	43,435		43,435		43,435		43,435		43,435	
Occupied Rooms	32,576		32,793		33,011		33,011		33,011	

Projected Leveraged Return Analysis – Residence Inn

Residence INN SANDESTIN AT GRAND BOULEVARD

Source and Use of Funds			Per Key			
Property Acquisition		$19,000,000	$159,664	First Mortgage - Assume	$13,675,000	70%
Renovation		238,000	2,000	Equity	5,943,000	30%
Closing Costs	2.0%	380,000	3,193			
Total Use of Funds		$19,618,000	$164,857	Total Source of Funds	$19,618,000	100%

Number of Rooms	**119**	YR1 Debt Yield	12.1%

Capital Gain Calculation	
Sixth Year Net Operating Income	$1,911,358
Terminal Cap Rate	8.5%
Gross Sales Price	$22,486,564
Selling Costs	2.0%
Net Sales Price	$22,036,833
Remaining Mortgage Balance	$13,675,000
Return of Equity	5,943,000
	-
Capital Gain	$2,418,833
Sales Price per Room	$188,963

Room Rev. Multiple	Acquisition	Total
T-12	3.80 x	3.92 x
FCST 2026	3.80 x	3.92 x
Year One	3.70 x	3.83 x

YE 2025, All-In Cap Rate	7.1%
YE 2025, Acquisition Cap Rate	7.4%
T-12 2026, All-In Cap Rate	7.4%
T-12 2026, Acquisition Cap Rate	7.7%
FCST 2026, All-In Cap Rate	7.5%
FCST 2026, Acquisition Cap Rate	7.7%
FCST 2026, EBITDA Multiple	11.34 x

Year One, All-In Cap Rate	8.4%
Year One, Acquisition Cap Rate	8.7%
Year One, EBITDA Multiple	10.20 x
Year Two, All-In Cap Rate	8.8%
Year Two, Acquisition Cap Rate	9.1%
Year Two, EBITDA Multiple	9.81 x

First Mortgage						
Mortgage Amount		$13,675,000		Term:		10 Years
Interest Rate		Fixed		Prepayment Penalty (as of 9/2026):		$738,547
Amortization Period		Interest Only		Maturity Date:		7/15/2032
	Annual Interest Rate:	5.99%	5.99%	5.99%	5.99%	5.99%
		Year One	Year Two	Year Three	Year Four	Year Five
Beginning Balance		$13,675,000	$13,675,000	$13,675,000	$13,675,000	$13,675,000
Annual Payment		819,133	819,133	819,133	819,133	819,133
Portion to Interest		819,133	819,133	819,133	819,133	819,133
Portion to Principal		-	-	-	-	-
Ending Balance		$13,675,000	$13,675,000	$13,675,000	$13,675,000	$13,675,000

Yearly Cash Flow Summary	Year One	Year Two	Year Three	Year Four	Year Five	Year Six
Net Operating Income	$1,653,061	$1,720,398	$1,769,789	$1,800,678	$1,831,943	$1,911,358
First Mortgage Annual Payment	819,133	819,133	819,133	819,133	819,133	
Cash Flow after Debt Service	$833,928	$901,265	$950,657	$981,545	$1,012,810	
NOI/Key	$13,891	$14,457	$14,872	$15,132	$15,394	
Debt Yield	12.1%	12.6%	12.9%	13.2%	13.4%	
Debt Service Coverage Ratio	2.02	2.10	2.16	2.20	2.24	

Leveraged IRR Analysis	Year Zero	Year One	Year Two	Year Three	Year Four	Year Five
Equity	(5,943,000)					
Cash Flow after Debt Service		833,928	901,265	950,657	981,545	1,012,810
Net Sales Price						22,036,833
Remaining Mortgage Balance						(13,675,000)
Net Cash Flow	($5,943,000)	$833,928	$901,265	$950,657	$981,545	$9,374,643
Cash-on-Cash Return		14.0%	15.2%	16.0%	16.5%	

Five-Year Leveraged IRR	20.8%
Equity Multiple	2.19 x

Projected Unleveraged Return Analysis – Residence Inn

Residence INN SANDESTIN AT GRAND BOULEVARD

Source and Use of Funds

		Per Key
Property Acquisition	$19,000,000	$159,664
Renovation	238,000	2,000
Closing Costs	380,000	3,193
Total Use of Funds	$19,618,000	$164,857

Number of Rooms 119

Ten-Year Unleveraged IRR Analysis

	Year One	Year Two	Year Three	Year Four	Year Five	Year Six	Year Seven	Year Eight	Year Nine	Year Ten	Year Eleven
Net Operating Income	$1,653,061	$1,720,398	$1,769,789	$1,800,678	$1,831,943	$1,911,358	$1,994,012	$2,080,031	$2,169,547	$2,262,699	$2,359,627

Eleventh Year Net Operating Income	$2,359,627
Terminal Cap Rate	9.0%
Gross Sales Price	$26,218,075
Selling Costs	2.0%
Net Sales Price	$25,693,714
Return of Equity	19,618,000
Capital Gain	$6,075,714
Sales Price per Room	$220,320

	Year Zero	Year One	Year Two	Year Three	Year Four	Year Five	Year Six	Year Seven	Year Eight	Year Nine	Year Ten
Total Use of Funds	($19,618,000)										
Net Operating Income		1,653,061	1,720,398	1,769,789	1,800,678	1,831,943	1,911,358	1,994,012	2,080,031	2,169,547	2,262,699
Net Sales Price											25,693,714
Net Cash Flow	($19,618,000)	$1,653,061	$1,720,398	$1,769,789	$1,800,678	$1,831,943	$1,911,358	$1,994,012	$2,080,031	$2,169,547	$27,956,412
Unleveraged Cash-on-Cash Return		8.4%	8.8%	9.0%	9.2%	9.3%	9.7%	10.2%	10.6%	11.1%	

Ten-Year Unleveraged IRR	11.3%
Equity Multiple	2.29 x
Percentage of Return from Residual	44.8%
Percentage of Return from Cash Flow	55.2%

Valuation Metrics & Key Assumptions - Tribute Portfolio Valuation

Courtyard Sandestin at Grand Boulevard – Conversion to Tribute Portfolio

VALUATION METRICS

VALUE:	**$27,000,000**
VALUE PER ROOM:	**$156,069**
ESTIMATED CAPITAL & CLOSING COSTS:	$7,460,000
ALL-IN ACQUISITION COST:	**$34,460,000**
ALL-IN PRICE PER ROOM:	**$199,191**
ALL-IN CAP RATE ON TTM NOI:	6.3%
ALL-IN EBITDA MULTIPLE ON TTM:	13.96 x
ALL-IN CAP RATE ON 2029 (POST-CONV.):	10.1%
ALL-IN EBITDA MULTIPLE ON 2029 (POST-CONV.):	8.80 x
5-YEAR LEVERAGED IRR:	18.2%
10-YEAR UNLEVERAGED IRR:	12.5%

** Metrics recorded at midpoint of value range presented.*

ALL-IN PRICE *

All-In Purchase Price*	All-In Price per Key*	Cap Rate on Forecast 2026	Cap Rate on Year Three (2029)
$32,010,000	$185,029	6.9%	10.9%
$33,235,000	$192,110	6.7%	10.5%
$34,460,000	**$199,191**	**6.4%**	**10.1%**
$35,685,000	$206,272	6.2%	9.8%
$36,910,000	$213,353	6.0%	9.5%
Net Operating Income		**$2,218,778**	**$3,489,747**

** Note: Includes Capex & Closing Costs.*

KEY ASSUMPTIONS

- Assumes $6,920,000 ($40,000 per key) in renovation and conversion capital for a Tribute Portfolio conversion.
- Unencumbered of Management & Management Fee equaling 3.0% of Total Revenue.
- FF&E Reserve equaling 4.0% of Total Revenue.
- Property insurance at the midpoint of Franklin Street's high and low premium estimates.
- Year One = 2027. Conversion displacement in 2028 (Year Two).
- Acquisition financing assumes 47.2% LTC: existing Courtyard CMBS loan of $16.25M at 5.90% fixed, interest only.
- Closing costs equal to 2.0% of purchase price.
- Terminal capitalization rate equal to 8.50%.
- Franchise fees of 12% of rooms revenue in 2027 (pre-conversion), then 9% in 2028 and 10% thereafter post-conversion (base 4% rising to 5%, 2% marketing, 3% loyalty).

Historical Cash Flow Summary – Courtyard Conversion to Tribute Portfolio

		Year Ended December 31, 2022		Year Ended December 31, 2023		Year Ended December 31, 2024		Year Ended December 31, 2025		Trailing Twelve August 31, 2026		Forecast Year Ended December 31, 2026[3]	
		Amount	Ratio	Amount	Ratio	Amount	Ratio	Amount	Ratio	Amount	Ratio	Amount	Ratio
Revenue													
Rooms		$6,319,936	91.3%	$6,267,091	91.8%	$6,108,547	91.0%	$6,721,730	90.9%	$6,874,945	91.0%	$6,921,696	90.9%
Food & Beverage		390,061	5.6%	407,340	6.0%	450,617	6.7%	519,185	7.0%	524,271	6.9%	528,952	6.9%
Other		209,768	3.0%	152,175	2.2%	155,912	2.3%	156,703	2.1%	158,938	2.1%	167,510	2.2%
Total Revenue		6,919,765	100.0%	6,826,606	100.0%	6,715,076	100.0%	7,397,618	100.0%	7,558,154	100.0%	7,618,158	100.0%
Departmental Expenses													
Rooms		1,405,794	22.2%	1,367,484	21.8%	1,469,087	24.0%	1,403,762	20.9%	1,363,308	19.8%	1,378,315	19.9%
Food & Beverage		358,468	91.9%	405,981	99.7%	379,026	84.1%	482,428	92.9%	462,226	88.2%	448,498	84.8%
Other		40,835	19.5%	39,671	26.1%	50,171	32.2%	48,242	30.8%	50,503	31.8%	53,345	31.8%
Total Departmental Expenses		1,805,097	26.1%	1,813,136	26.6%	1,898,284	28.3%	1,934,432	26.1%	1,876,037	24.8%	1,880,158	24.7%
Total Departmental Profit		5,114,668	73.9%	5,013,470	73.4%	4,816,792	71.7%	5,463,186	73.9%	5,682,117	75.2%	5,738,000	75.3%
Undistributed Oper. Expenses													
Admin. & Gen.		590,125	8.5%	604,460	8.9%	570,706	8.5%	635,421	8.6%	642,526	8.5%	619,841	8.1%
Info. & Telecomm. Systems		64,225	0.9%	82,954	1.2%	55,383	0.8%	53,398	0.7%	56,928	0.8%	56,427	0.7%
Franchise Fees		721,105	10.4%	713,083	10.4%	714,353	10.6%	841,548	11.4%	836,158	11.1%	828,022	10.9%
Marketing		258,020	3.7%	266,006	3.9%	284,687	4.2%	297,590	4.0%	309,864	4.1%	303,516	4.0%
Utility Costs		272,985	3.9%	273,994	4.0%	263,368	3.9%	284,003	3.8%	291,215	3.9%	293,706	3.9%
Property Oper. & Maint.		426,928	6.2%	466,112	6.8%	439,146	6.5%	409,530	5.5%	456,994	6.0%	469,414	6.2%
Total Undistributed Oper. Expenses		2,333,388	33.7%	2,406,609	35.3%	2,327,643	34.7%	2,521,490	34.1%	2,593,685	34.3%	2,570,926	33.7%
Gross Operating Profit		2,781,280	40.2%	2,606,861	38.2%	2,489,149	37.1%	2,941,696	39.8%	3,088,432	40.9%	3,167,074	41.6%
Management Fees	*(1)*	207,593	3.0%	204,798	3.0%	201,452	3.0%	221,929	3.0%	226,745	3.0%	228,545	3.0%
Income Before Fixed Charges		2,573,687	37.2%	2,402,063	35.2%	2,287,697	34.1%	2,719,767	36.8%	2,861,687	37.9%	2,938,529	38.6%
Fixed Charges													
Insurance		180,045	2.6%	216,684	3.2%	263,848	3.9%	198,596	2.7%	211,140	2.8%	235,241	3.1%
Property Taxes		148,933	2.2%	149,644	2.2%	153,983	2.3%	171,462	2.3%	182,502	2.4%	179,784	2.4%
Total Fixed Charges		328,978	4.8%	366,328	5.4%	417,831	6.2%	370,058	5.0%	393,642	5.2%	415,025	5.4%
EBITDA		2,244,709	32.4%	2,035,735	29.8%	1,869,866	27.8%	2,349,709	31.8%	2,468,045	32.7%	2,523,504	33.1%
Reserve for Replacement	*(2)*	276,791	4.0%	273,064	4.0%	268,603	4.0%	295,905	4.0%	302,326	4.0%	304,726	4.0%
Net Operating Income		$1,967,918	28.4%	$1,762,671	25.8%	$1,601,263	23.8%	$2,053,805	27.8%	$2,165,719	28.7%	$2,218,778	29.1%
NOI / Key		*$11,375*		*$10,189*		*$9,256*		*$11,872*		*$12,519*		*$12,825*	
Operating Statistics													
Occupancy		60.5%		68.1%		69.1%		74.8%		76.2%		76.8%	
Average Daily Rate		$165.51		$145.83		$139.59		$142.38		$142.81		$142.82	
RevPAR		$100.09		$99.25		$96.47		$106.45		$108.88		$109.62	
Number of Rooms		173		173		173		173		173		173	
Days In Period		365		365		366		365		365		365	
Available Rooms		63,145		63,145		63,318		63,145		63,145		63,145	
Occupied Rooms		38,185		42,975		43,762		47,211		48,139		48,464	

(1) Included on a pro forma basis at 3% of Total Revenue.
(2) Included on a pro forma basis at 4% of Total Revenue.
(3) Includes actuals through August + Budget September - December.

Projected Cash Flow Summary – Courtyard Conversion to Tribute Portfolio

	2027		Conversion 2028 Renovation		2029		2030		2031	
	Year One		Year Two		Year Three		Year Four		Year Five	
	Amount	*Ratio*	*Amount*	*Ratio*	*Amount*	*Ratio*	*Amount*	*Ratio*	*Amount*	*Ratio*
Revenue										
Rooms	$7,129,090	91.0%	$6,788,734	86.2%	$8,742,380	82.5%	$8,960,940	82.3%	$9,184,963	82.2%
Food & Beverage	538,311	6.9%	909,288	11.6%	1,679,657	15.8%	1,738,445	16.0%	1,799,291	16.1%
Other	171,000	2.2%	174,000	2.2%	180,090	1.7%	186,393	1.7%	192,917	1.7%
Total Revenue	7,838,401	100.0%	7,872,022	100.0%	10,602,127	100.0%	10,885,778	100.0%	11,177,171	100.0%
Departmental Expenses										
Rooms	1,419,184	19.9%	1,454,861	21.4%	1,679,657	19.2%	1,730,047	19.3%	1,781,948	19.4%
Food & Beverage	457,564	85.0%	772,895	85.0%	1,377,319	82.0%	1,418,638	81.6%	1,461,197	81.2%
Other	51,300	30.0%	52,200	30.0%	53,766	29.9%	55,379	29.7%	57,040	29.6%
Total Departmental Expenses	1,928,048	24.6%	2,279,956	29.0%	3,110,742	29.3%	3,204,064	29.4%	3,300,186	29.5%
Total Departmental Profit	5,910,353	75.4%	5,592,066	71.0%	7,491,386	70.7%	7,681,714	70.6%	7,876,985	70.5%
Undistributed Oper. Expenses										
Admin. & Gen.	480,000	6.1%	504,000	6.4%	600,000	5.7%	618,000	5.7%	636,540	5.7%
Info. & Telecomm. Systems	62,707	0.8%	94,464	1.2%	127,226	1.2%	131,042	1.2%	134,974	1.2%
Franchise Fees	855,491	10.9%	610,986	7.8%	874,238	8.2%	896,094	8.2%	918,496	8.2%
Marketing	313,536	4.0%	314,881	4.0%	339,268	3.2%	349,446	3.2%	359,929	3.2%
Utility Costs	300,965	3.8%	284,153	3.6%	308,937	2.9%	318,205	2.9%	327,751	2.9%
Property Oper. & Maint.	470,304	6.0%	472,321	6.0%	530,106	5.0%	546,010	5.0%	562,390	5.0%
Total Undistributed Oper. Expenses	2,483,003	31.7%	2,280,805	29.0%	2,779,775	26.2%	2,858,797	26.3%	2,940,080	26.3%
Gross Operating Profit	3,427,350	43.7%	3,311,261	42.1%	4,711,611	44.4%	4,822,917	44.3%	4,936,904	44.2%
Management Fees	235,152	3.0%	236,161	3.0%	318,064	3.0%	326,573	3.0%	335,315	3.0%
Income Before Fixed Charges	3,192,198	40.7%	3,075,100	39.1%	4,393,547	41.4%	4,496,344	41.3%	4,601,589	41.2%
Fixed Charges										
Insurance	267,000	3.4%	275,010	3.5%	283,260	2.7%	291,758	2.7%	300,511	2.7%
Property Taxes	185,178	2.4%	190,733	2.4%	196,455	1.9%	202,348	1.9%	208,419	1.9%
Total Fixed Charges	452,178	5.8%	465,743	5.9%	479,715	4.5%	494,107	4.5%	508,930	4.6%
EBITDA	2,740,020	35.0%	2,609,358	33.1%	3,913,832	36.9%	4,002,237	36.8%	4,092,660	36.6%
Reserve for Replacement	313,536	4.0%	314,881	4.0%	424,085	4.0%	435,431	4.0%	447,087	4.0%
Net Operating Income	$2,426,484	31.0%	$2,294,477	29.1%	$3,489,747	32.9%	$3,566,806	32.8%	$3,645,573	32.6%
NOI / Key	*$14,026*		*$13,263*		*$20,172*		*$20,617*		*$21,073*	
Operating Statistics										
Occupancy	77.5%		72.0%		76.0%		76.0%		76.0%	
Average Daily Rate	$145.68		$149.32		$182.17		$186.72		$191.39	
RevPAR	$112.90		$107.51		$138.45		$141.91		$145.46	
Number of Rooms	173		173		173		173		173	
Days In Period	365		365		365		365		365	
Available Rooms	63,145		63,145		63,145		63,145		63,145	
Occupied Rooms	48,937		45,464		47,990		47,990		47,990	

Projected Leveraged Return Analysis – Courtyard Conversion to Tribute Portfolio

Source and Use of Funds

			Per Key			
Property Acquisition		$27,000,000	$156,069	First Mortgage - Assumed	$16,250,000	47%
Renovation & Conversion Costs		6,920,000	40,000	Equity	18,210,000	53%
Closing Costs	2.0%	540,000	3,121			
Total Use of Funds		$34,460,000	$199,191	Total Source of Funds	$34,460,000	100%

Number of Rooms **173**

YR1 Debt Yield	14.9%

Capital Gain Calculation	
Sixth Year Net Operating Income	$3,802,321
Terminal Cap Rate	8.5%
Gross Sales Price	$44,733,191
Selling Costs	2.0%
Net Sales Price	$43,838,527
Remaining Mortgage Balance	$16,250,000
Return of Equity	18,210,000
	-
Capital Gain	$9,378,527
Sales Price per Room	$258,573

Room Rev. Multiple	Acquisition	Total
T-12	3.93 x	5.01 x
FCST 2026	3.90 x	4.98 x
Year One	3.79 x	4.83 x

YE 2025, All-In Cap Rate	6.0%
YE 2025, Acquisition Cap Rate	7.6%
T-12 2026, All-In Cap Rate	6.3%
T-12 2026, Acquisition Cap Rate	8.0%
FCST 2026, All-In Cap Rate	6.4%
FCST 2026, Acquisition Cap Rate	8.2%
FCST 2026, EBITDA Multiple	10.70 x

Year One, All-In Cap Rate	7.0%
Year One, Acquisition Cap Rate	9.0%
Year One, EBITDA Multiple	9.85 x
Year Three, All-In Cap Rate	10.1%
Year Three, Acquisition Cap Rate	12.9%
Year Three, EBITDA Multiple	6.90 x

First Mortgage

Mortgage Amount		$16,250,000		Term:		10 Years
Interest Rate		Fixed		Prepayment Penalty (as of 9/2026):		$806,178
Amortization Period		Interest Only		Maturity Date:		7/1/2032
	Annual Interest Rate:	5.90%	5.90%	5.90%	5.90%	5.90%
		Year One	Year Two	Year Three	Year Four	Year Five
Beginning Balance		$16,250,000	$16,250,000	$16,250,000	$16,250,000	$16,250,000
Annual Payment		958,750	958,750	958,750	958,750	958,750
Portion to Interest		958,750	958,750	958,750	958,750	958,750
Portion to Principal		-	-	-	-	-
Ending Balance		$16,250,000	$16,250,000	$16,250,000	$16,250,000	$16,250,000

Yearly Cash Flow Summary

	Year One	Year Two	Year Three	Year Four	Year Five	Year Six
Net Operating Income	$2,426,484	$2,294,477	$3,489,747	$3,566,806	$3,645,573	$3,802,321
First Mortgage Annual Payment	958,750	958,750	958,750	958,750	958,750	
Cash Flow after Debt Service	$1,467,734	$1,335,727	$2,530,997	$2,608,056	$2,686,823	
NOI/Key	$14,026	$13,263	$20,172	$20,617	$21,073	
Debt Yield	14.9%	14.1%	21.5%	21.9%	22.4%	
Debt Service Coverage Ratio	2.53	2.39	3.64	3.72	3.80	

Leveraged IRR Analysis

	Year Zero	Year One	Year Two	Year Three	Year Four	Year Five
Equity	(18,210,000)					
Cash Flow after Debt Service		1,467,734	1,335,727	2,530,997	2,608,056	2,686,823
Net Sales Price						43,838,527
Remaining Mortgage Balance						(16,250,000)
Net Cash Flow	($18,210,000)	$1,467,734	$1,335,727	$2,530,997	$2,608,056	$30,275,350
Cash-on-Cash Return		8.1%	7.3%	13.9%	14.3%	

Five-Year Leveraged IRR	18.2%
Equity Multiple	2.10 x

Projected Unleveraged Return Analysis – Courtyard Conversion to Tribute Portfolio

Source and Use of Funds

		Per Key
Property Acquisition	$27,000,000	$156,069
Renovation & Conversion Costs	6,920,000	40,000
Closing Costs	540,000	3,121
Total Use of Funds	$34,460,000	$199,191

Number of Rooms 173

Ten-Year Unleveraged IRR Analysis

	Year One	Year Two	Year Three	Year Four	Year Five	Year Six	Year Seven	Year Eight	Year Nine	Year Ten	Year Eleven
Net Operating Income	$2,426,484	$2,294,477	$3,489,747	$3,566,806	$3,645,573	$3,802,321	$3,965,431	$4,135,150	$4,311,737	$4,495,460	$4,686,598

Eleventh Year Net Operating Income	$4,686,598
Terminal Cap Rate	9.0%
Gross Sales Price	$52,073,311
Selling Costs	2.0%
Net Sales Price	$51,031,844
Return of Equity	34,460,000
Capital Gain	$16,571,844
Sales Price per Room	$301,002

	Year Zero	Year One	Year Two	Year Three	Year Four	Year Five	Year Six	Year Seven	Year Eight	Year Nine	Year Ten
Total Use of Funds	($34,460,000)										
Net Operating Income		2,426,484	2,294,477	3,489,747	3,566,806	3,645,573	3,802,321	3,965,431	4,135,150	4,311,737	4,495,460
Net Sales Price											51,031,844
Net Cash Flow	($34,460,000)	$2,426,484	$2,294,477	$3,489,747	$3,566,806	$3,645,573	$3,802,321	$3,965,431	$4,135,150	$4,311,737	$55,527,304
Unleveraged Cash-on-Cash Return		7.0%	6.7%	10.1%	10.4%	10.6%	11.0%	11.5%	12.0%	12.5%	

Ten-Year Unleveraged IRR	12.5%
Equity Multiple	2.53 x
Percentage of Return from Residual	45.6%
Percentage of Return from Cash Flow	54.4%

Sales Comparables

Over the past 12 months, the Fort Walton Beach submarket recorded $49.6 million in hotel sales.

Date	Property Name	City	Units	Price ($)	$/Units
Oct-26	Home2 Suites by Hilton Destin	Destin	112	22,000,000	196,429
Jul-26	Hyatt Place Pensacola Airport	Pensacola	127	11,000,000	86,614
Jul-26	Courtyard by Marriott Panama City	Panama City	84	8,800,000	104,762
May-26	Staybridge Suites Miramar Beach	Miramar Beach	116	19,165,000	165,216
Nov-25	Residence Inn by Marriott	Pensacola	86	17,100,000	198,837
Jun-25	Fairfield Inn & Suites Destin	Fort Walton Beach	100	15,000,000	150,000
May-25	Fairfield Inn & Suites Shalimar	Shalimar	92	10,000,000	108,696
Jan-25	Fairfield Inn & Suites - Fort Walton Beach	Fort Walton Beach	74	11,200,000	151,351
May-24	Courtyard Pensacola Downtown	Pensacola	120	21,500,000	179,167
Apr-24	Residence Inn by Marriott Pensacola Downtown	Pensacola	78	11,000,000	141,026
Apr-24	Best Western Sugar Sands Inns & Suites	Fort Walton Beach	137	18,980,000	138,540
Dec-23	Homewood Suites by Hilton Destin	Destin	95	30,250,000	318,421
Jan-22	Hilton Garden Inn	Miramar Beach	111	30,000,000	270,270

